

West Des Moines Community School District

West Des Moines, Iowa

Comprehensive Annual Financial Report

Year Ended June 30, 2018

Comprehensive Annual Financial Report of the

West Des Moines Community School District
West Des Moines, Iowa

For the Fiscal Year Ended June 30, 2018

Official Issuing Report

Paul Bobek, CPA, Chief Financial Officer

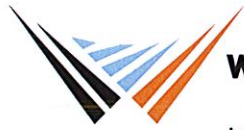
Office Issuing Report

Administrative Services Division

Table of Contents

INTRODUCTORY SECTION (Unaudited)	
Table of contents	i-ii
Message from the District Superintendent	iii
Letter of transmittal	iv-x
Board of education	xi
District administration	xii
Organizational chart	xiii
Certificate of achievement for excellence in financial reporting	xiv
Certificate of excellence in financial reporting	xv
FINANCIAL SECTION	
Independent auditor's report	1-3
Management's discussion and analysis	4-13
Basic financial statements:	
Government-wide financial statements:	
Statement of net position	14-15
Statement of activities	16-17
Governmental fund financial statements:	
Balance sheet- governmental funds	18
Reconciliation of total governmental fund balances to net position of governmental activities	19
Statement of revenues, expenditures and changes in fund balances -governmental funds	20
Reconciliation of the statement of revenues, expenditures and changes in fund balances of governmental funds to the statement of activities	21
Proprietary fund financial statements:	
Statement of net position -proprietary funds	22
Reconciliation of enterprise funds net position to the net position of business-type activities	23
Statement of revenues, expenses and changes in net position- proprietary funds	24
Reconciliation of the change in net position of enterprise funds to the statement of activities	25
Statement of cash flows -proprietary funds	26-27
Statement of fiduciary assets and liabilities -agency fund	28
Notes to basic financial statements	29-55
Required supplementary information:	
Budgetary comparison schedule of revenues, expenditures/expenses and changes in balances budget and actual – all governmental and enterprise funds	56-57
Schedule of changes in the District's total OPEB liability and related ratios	58
Schedule of the district's proportionate share of the net pension liability	59
Schedule of district contributions	60-61
Notes to required supplementary information	62-63
Other supplementary information:	
Nonmajor governmental funds:	
Combining balance sheet	64
Combining statement of revenues, expenditures and changes in fund balances	65
Schedule of combining balance sheet-capital projects fund-by account	66
Schedule of combining statement of revenues, expenditures and changes in fund balance-capital projects fund-by account	67
Nonmajor enterprise funds:	
Combining statement of net position	68
Combining statement of revenues, expenses and changes in net position	69
Combining statement of cash flows	70-71
Agency fund, statement of changes in assets and liabilities	72

STATISTICAL SECTION (Unaudited)	
Statistical section contents	73
Net position by component	74-75
Expenses, program revenues and net (expense)/revenue	76-77
General revenues and total change in net position	78-79
Fund balances, governmental funds	80-81
Governmental funds revenues	82-83
Governmental funds expenditures and debt service ratio	84-85
Other financing sources and uses and net change in fund balances	86-87
Assessed value and actual value of taxable property	88
Direct and overlapping property tax rates	89-90
Principal property taxpayers	91
Property tax levies and collections	92
Actual historic sales, services and use tax collections	93
Outstanding debt by type	94
Direct and overlapping governmental activities debt	95
Legal debt margin information	96-97
Pledged-revenue coverage	98
Current statewide receipts of the SAVE tax – average per pupil receipts	99
Estimated receipts of the tax available for distribution	100
Estimated future tax revenues	101
Projected debt service coverage	102
Retail sales within district	103
Debt ratios and valuation per capita	104
Demographic and economic statistics	105
Principal employers	106
Population of cities and counties within district	107
Full-time equivalent district employees by type	108-109
Operating statistics	110
School building information	111-114
Open enrollment	115
COMPLIANCE SECTION	
Schedule of expenditures of federal awards	116
Notes to schedule of expenditures of federal awards	117
Summary schedule of prior audit findings	118
Independent auditor's report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with <i>Government Auditing Standards</i>	119-120
Independent auditor's report on compliance for each major federal program and on internal control over compliance required by the Uniform Guidance	121-122
Schedule of findings and questioned costs	123-128
Corrective action plan	129



WEST DES MOINES
COMMUNITY SCHOOLS

Learning Resource Center
3550 Mills Civic Parkway • West Des Moines, IA 50265
515-633-5000 • www.wdmcs.org

November 16, 2018

The Board of Education and Residents
West Des Moines Community Schools

Ladies and Gentlemen:

The following report is a comprehensive financial record of the District for the fiscal year ended June 30, 2018. The report is a reflection of the conditions which have enabled the West Des Moines Community Schools to maintain a favorable financial position despite state and federal budget constraints and the related impact on local school districts across our state.

The shared vision of the District states, "The West Des Moines Community Schools will be a caring community of learners that knows and lifts every child. We will inspire joy in learning. Our schools will excel at preparing each student for his or her life journey."

This shared vision provides the foundation of our District's financial planning. Meeting the educational needs of our students despite state and federal budget constraints is no simple task. The educational success of the West Des Moines Community Schools is due to many factors including:

- ✚ An outstanding and effective Board of Education.
- ✚ A very supportive community with high expectations for outstanding schools.
- ✚ Supportive parents who have high expectations for their children.
- ✚ A team of outstanding and dedicated teachers, staff and administrators.
- ✚ Students who understand the importance of obtaining a quality education.

As you review the information included in this report, please be sure to contact us if you have any questions or suggestions. Our focus is upon the learning needs of all of our students. With your help and support, we will continue to be an excellent system of schools. We can all take pride in the outstanding success of our students as they graduate as learners prepared for life.

Sincerely,

Lisa Remy, Ed.D.
Superintendent



WEST DES MOINES
COMMUNITY SCHOOLS

November 16, 2018

The Board of Education and Residents
West Des Moines Community School District

The Comprehensive Annual Financial Report of the West Des Moines Community School District (the District) for the fiscal year ended June 30, 2018 is submitted herewith. The District is an independent entity governed by a seven member board. Responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Administrative Services Division. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and U.S. Office of Management and Budget Circular A-133, Audits of States and Local Governments and Nonprofit Organizations. Information related to this single audit, including a schedule of expenditures of federal awards, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements that could have a direct and material effect on each major program and on internal control over compliance, and a schedule of findings are included in the single audit compliance section of this report.

This report includes all funds of the West Des Moines Community School District. The District provides a full range of programs and services including instructional; administrative; transportation; food service; maintenance of sites and facilities; custodial; clerical; extra, co-curricular and athletic activities; and community education.

Management is responsible for preparing a Management's discussion and Analysis. This discussion follows the independent auditor's report and provides an assessment of the District's finances for 2018.

Profile of the Government

In Iowa, school districts operate with local control and have fiscal independence from other government entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The West Des Moines Community School District serves more than 58,000 people who live in the western portion of Polk County-West Des Moines, Clive, parts of Urbandale and Windsor Heights and nearby rural areas. Covering 36.6 square miles, the District has grown up around a former railroad center, Valley Junction, and the farmland north and south of the Raccoon River. The District experienced rapid growth up until the fall of 1975 when enrollment reached 6,726 students. Enrollment gradually declined to 5,825 students in the fall of 1982, but increased annually (except for September 1999) through September 2002, to 8,776 students. Enrollment declined more than 200 students during fiscal years 2004 and 2005. The District's enrollment projections estimate slightly declining enrollments averaging approximately 68 students for each of the next five years. In October 2018, the District's Official Enrollment increase by 22 students which is approximately the same increase in the number of students served.

The District operates thirteen schools, a maintenance/transportation/warehouse facility, a stadium and the Learning Resource Center (administrative offices). Phenix Elementary School was closed starting in fiscal year 2014-15 as part of the District's budget reductions and subsequently sold during the year. During 2015-16, the District sold the Old Walnut Creek Campus at appraised value. All current real property is used for instructional or support services. The West Des Moines Community School District provides a comprehensive Pre K-12 educational program and an extensive Community Education program.

Economic Condition and Outlook

The District is located in the central part of the state, within the larger Des Moines metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District have remained strong during the past ten years, following several years of very high economic growth and steady enrollment growth. This growth has had a positive effect on employment and the District's tax base. The District's tax base increased at an average annual rate of approximately 3.80% over the past 15 years. In fiscal year 2018, the District experienced an increase in valuation of 2.43%.

The tax base is expected to grow more slowly in the next five years.

Retail sales, building permits and population increases in the western suburbs have generally exceeded that of any other location in the metropolitan area or in the state of Iowa. Growth in the Des Moines area suburbs is expected to exceed the state average. A large percentage of these increases are occurring outside the District's boundaries.

In recent years, the state of Iowa faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. After two consecutive years of 4.5% declines in the state's net receipts, in 2011, the state's net receipts increased by 5.8%. In light of these challenging economic times, the District has publicly discussed operating budget concerns looking ahead to the next five years. In May 2014, the Board approved a plan to reduce \$2.7 million in General Fund Budget in the 2014-15 fiscal year including the closing of Phenix Elementary School. The Board of Education continues to implement the District's long range facilities plan, which was approved in March 2010. In addition, the Board has directed the Administration to review this plan so that additional Revenue Bonds are not necessary to finance the plan and the Administration has since presented a plan to make \$12.3 million in scope reductions to this plan. This District is in the process of developing a Master Facilities Plan that will continue investment in the District's facilities upon the completion of the existing Facilities Plan which will be completed June 30, 2020.

The 2017-18 school year included many stories of success. The shared vision and five guiding principles continue to be the foundation for curriculum development, integration of technology, community involvement and the learning process.

The shared vision is carefully considered in all District efforts: “The West Des Moines Community School District will be a caring community of learners that knows and lifts every child. We will inspire joy in learning. Our schools will excel at preparing each student for his or her life journey.”

Renovation and remodeling slowed significantly for the District in 2017-18. During 2015-16, the Board approved contracts to renovate Tiger Field at Valley High School and to put a classroom addition and other renovations at Jordan Creek Elementary School. The District has spent a significant amount of 2017-18 evaluating districtwide building structures for the purpose of creating effective learning spaces, also known as the Framework. A final Framework determination has not yet been made, but any changes to the Framework are planned to be included in the Master Facility Plan.

The Stretching Minds program continued serving many elementary and junior high students during the summer. The program targets students most likely to benefit from additional opportunities in reading, mathematics and community learning.

Athletic Report for 2017-18 School Year

The Valley High School Tigers had another very good year in 2017-18. The Tigers finished 2nd in the Des Moines Register All-Sports Standings. Sixteen different teams finished in the top eight at their respective tournaments, with boys track repeating as State Champion.

Just under 1000 students participated in athletics at Valley Southwoods and Valley High School during the 2017-18 school year and as a group, they continue to lead in the classroom, community, and playing fields. Their combined Grade Point Average was 3.24.

West Des Moines Community Schools continues to be very well represented by students, coaches, teachers, and families dedicated to the pursuit of excellence both in competitions and in the academics. The following is a breakdown of all teams finish at the state level.

<u>Sport</u>	<u>State Place</u>
Fall	
Girls Cross Country	Did not qualify
Boys Cross Country	6th place
Football	Playoff Qualifier
Boys Golf	Did not qualify
Girls Swimming	Did not place
Volleyball	2nd place

Winter

Girls Basketball	State Qualifier-Top 8
Boys Basketball	4th place
Wrestling	4th place
Girls Bowling	8th place
Boys Bowling	Did not place
Boys Swimming	2nd place

Spring

Girls Track	Did not place
Boys Track	1st Place
Girls Soccer	Top 4
Boys Soccer	State Qualifier-Top 8
Girls Golf	2nd place
Girls Tennis	Did not place
Boys Tennis	4th place

Summer

Softball	4th place
Baseball	Top 4

Other Financial Information

Management of the District is responsible for establishing and maintaining internal controls designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America (GAAP). The internal controls are designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable recognizes that the cost of a control should not exceed the benefits likely to be derived. The valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District is responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. The internal control procedures are subject to periodic evaluation by management and external auditors.

As a part of the District's audit, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal award programs. The results of the District's audit for the fiscal year ended June 30, 2018 noted no material weaknesses in the internal controls over financial reporting or for compliance issues.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, and enterprise funds are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established by the functional level for all funds combined rather than at the individual fund level. The District also maintains an encumbrance accounting system as one technique of accomplishing budgetary control. Encumbered amounts lapse at the fiscal year's end. However, encumbrances generally are re-appropriated as part of the following year's budget.

As demonstrated by the statements and schedules included in the financial section of this report, the District continues to meet its responsibility for sound financial management.

In the 2014-15 fiscal year, the District implemented budgetary reductions totaling \$2.7 million. The District again initiated a budgetary process to reduce up to \$850,000 for the 2016-17 fiscal year given the District's 134 student decrease in Official Enrollment, which generates 2016-17 funding. In the spring of 2016, the District refunded its 2010 and 2011 Capital Loan Notes resulting in a net savings of approximately \$1.9 million over the remaining five years maturity. This Notes are paid from the District's Physical Plant and Equipment Levy Fund, PPEL, and this Fund will realize the \$1.9 million savings over the next five years.

The District's General Fund's categorical program's carryover balances decreased by \$605,025 to a total carryover amount of \$3,482,187 at June 30, 2018. This carryover amount is reflected in both the General Fund's Fund Balance and Unspent Balances as of June 30, 2018.

During the 2016-17 fiscal year, the Iowa Legislature discussed the possibility of creating a statewide health insurance plan for all state and local government employees. During these discussions, it was rumored that if the statewide plan were implemented, those governmental entities who operate self-insurance plans through an Enterprise Fund, would be required to turn over to the state the Enterprise Fund's Fund Balance. On July 1, 2016 the District's Health Insurance Fund's Fund Balance was \$19 million. In an effort to protect the District's taxpayers, the Board ceased the employer's contribution to the Health Insurance Fund starting on or about January 1, 2017, which amounted to approximately \$5 million for the remaining fiscal year. This had the effect of decreasing the General Fund's health insurance expenditures by approximately \$5 million and decreasing the Health Insurance Fund's revenues by \$5 million. This is not anticipated to be an annual event. During 2017-18, the concern about the legislature taking the Enterprise Fund's Fund Balance, the Board authorized sending this approximately \$5 million from the General Fund to the Enterprise Fund. This resulted in approximately 18 months of health and dental insurance expense being reported in the General Fund during 2017-18.

On September 12, 2017, subsequent to year end, the taxpayers, with an 82% approval, voted to extend the Voted Physical Plant and Equipment Levy (VPPEL) for another ten year period starting with fiscal year ending June 30, 2022. In 2017, the VPPEL generated \$6.1 million.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with GAAP as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform with the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

Relevant Financial Policies. Since the funding formula is pupil driven, an increase in total spending authority occurs by increasing the number of pupils or by increasing the cost per pupil. The cost per pupil is determined by the legislature in setting the amount of Supplemental State Aid, formerly known as allowable growth, each year. Under the law, the legislature has 30 days after receiving the governor's budget recommendation to set the state percent of growth for the year following the budget year. To illustrate, the 2011 legislature set the FY13 state percent of growth. The Supplemental State Aid becomes increasingly important because as a District, if we are faced with declining enrollment in a given year, the amount of Supplemental State Aid often will dictate budget reductions that will take place.

Awards and Acknowledgements

Independent Audits. The accounting firm of Bohnsack & Frommelt, LLP performed the annual audit. In addition to meeting requirements set forth in state statutes, the audit was designed to meet the requirements of federal Single Audit Act Amendments of 1996 and related OMB Circular A-133. The auditor's report on the basic financial statements, required supplementary information, combining and individual fund statements and other schedules are included in the financial section of this report.

Awards. The Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the West Des Moines Community School District for its comprehensive annual financial report for the fiscal year ended June 30, 2017. The Certificate of Achievement is the highest form of recognition for excellence in state and local financial reporting.

In order to be presented this award, the District must publish an easily readable and efficiently organized comprehensive annual financial report. This report must satisfy both GAAP and applicable legal requirements. A Certificate of Achievement is valid for a period of one year only. The West Des Moines Community School District has received a Certificate of Achievement for twenty-seven consecutive years.

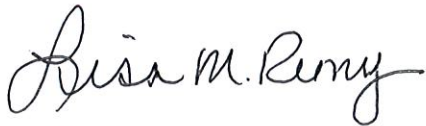
The School District has also received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for thirty-one consecutive years. Upon recommendation of the Association's Panel and Review, which has judged that the report substantially conforms to principles and standards of ASBO's Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

A certificate from both associations is valid for a period of one year. We believe that our current comprehensive annual financial report continues to meet the program requirements of GFOA and ASBO and we are submitting it to both associations to determine its eligibility for another certificate.

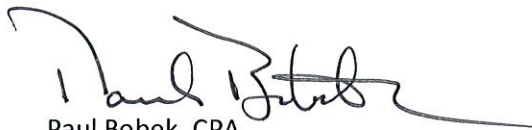
Acknowledgement

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, Bohnsack & Frommelt, LLP. We would like to express our appreciation to all staff members who assisted and contributed to this report. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectively submitted,



Lisa Remy, Ed.D.
Superintendent



Paul Bobek, CPA
Chief Financial Officer

West Des Moines Community School District

Board of Education

Year Ended June 30, 2018

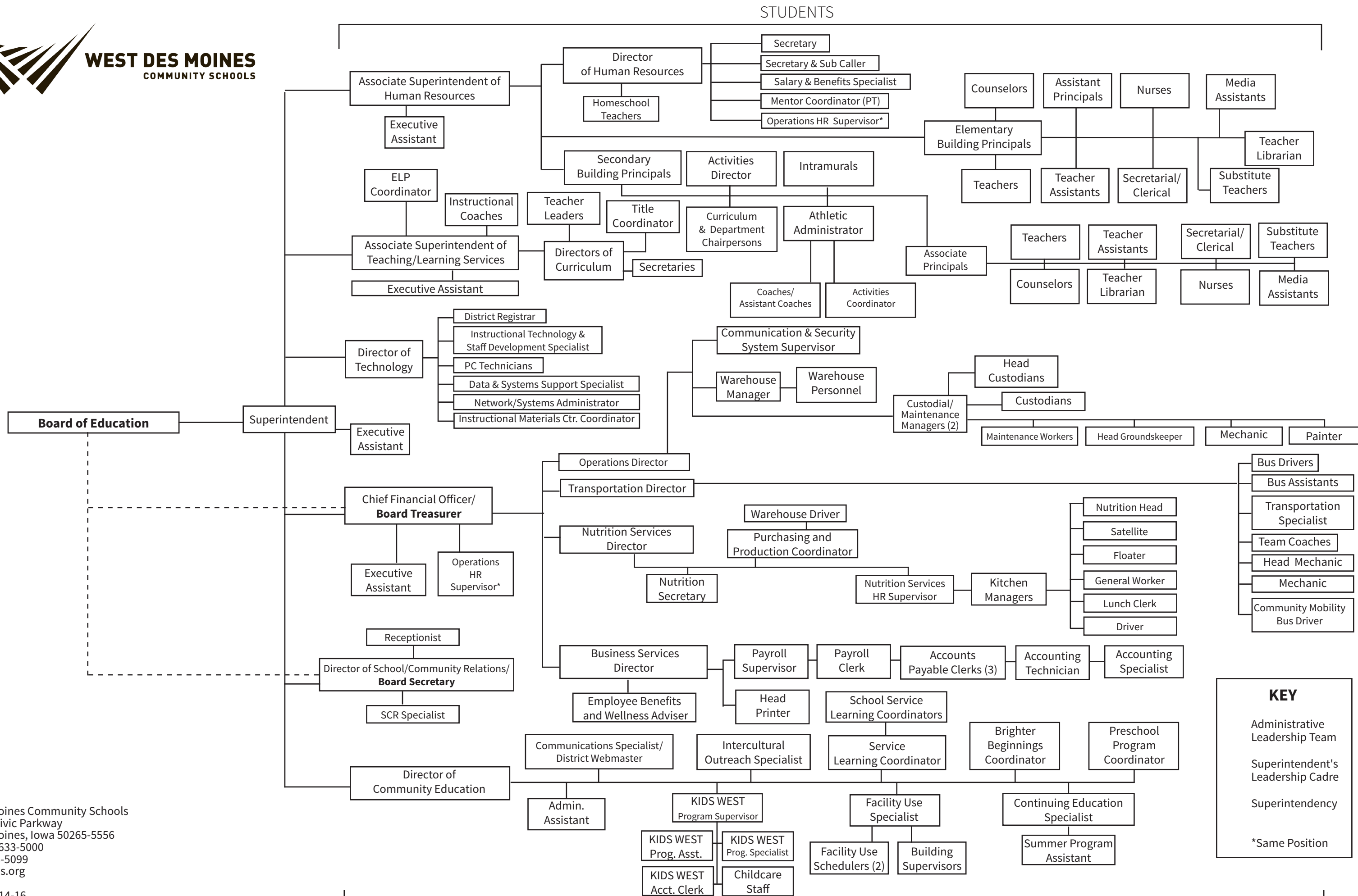
	Title	Term/Contract Expires
Dr. Jill Canton Johnson	President	September 2019
Liz Cox	Vice President	September 2019
Elizabeth Brennan	Board Member	September 2021
David J. Brown	Board Member	September 2019
Melinda Dunnwald	Board Member	September 2019
Dr. Jennifer Ulie-Wells	Board Member	September 2021
Dr. Vicky Poole	Board Member	September 2021

West Des Moines Community School District

District Administration

Year Ended June 30, 2018

Dr. Lisa Remy	Superintendent
Michelle Lettington	Associate Superintendent of Teaching and Learning
Dr. Carol Seid	Associate Superintendent of Human Resources
Josie Lewis	Director of Human Resources
Paul Bobek, C.P.A.	Chief Financial Officer
Donna Beerman	Director of Business Services
Christine Maduro	Director of Operations
Shane Scott	Director of Curriculum and Instruction
Beth Brewer	Director of Curriculum and Instruction
Shahna Janssen	Director of Community Education
Willow Dye	Director of Nutrition Services
Laine Mendenhall-Buck	Director of School/Community Relations
Brian Abeling	Director of Technology
Kandi Hensel	Director of Special Education
David Maxwell	Valley High School Principal
Jill Bryson	Valley High School Associate Principal
Brad Rose	Valley High School Athletic Administrator
Dr. Jeff Grassmeyer	Valley High School Associate Principal
David Perrigo	Valley High School Associate Principal
Erica Whittle	Valley High School Associate Principal
Shane Christensen	Indian Hills Junior High Principal
Zac Sinram	Indian Hills Junior High Assistant Principal
Eric Boyle	Stilwell Jr. High Principal
Alex Dreier	Stilwell Junior High Assistant Principal
Dr. Robert Davis	Crossroads Park Elementary School Principal
Janelle Green	Clive Learning Academy
John Villotti	Crestview School of Inquiry
Brandon Pierce	Fairmeadows Elementary School Principal
Mitch Kuhnert	Valley Southwoods Freshman High School Principal
Haley Hockensmith-Henry	Valley Southwoods Freshman High School Associate Principal/Team Leader
George Panosh	Western Hills Elementary School Principal
Paul Wenger	Jordan Creek Elementary School Principal
Tamara Tjeerdsmma	Jordan Creek Elementary School/Westridge Elementary School Vice Principal
Nathan Ballagh	Westridge Elementary School Principal
Dr. Kim Davis	Walnut Creek Campus Principal





Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**West Des Moines Community
School District, Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2017

Christopher P. Morrell

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

The Certificate of Excellence in Financial Reporting
is presented to

West Des Moines Community School District

for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2017.

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



Charles E. Peterson, Jr., SFO, RSBA, MBA
President

John D. Musso, CAE
Executive Director



Independent Auditor's Report

To the Board of Education
West Des Moines Community School District
West Des Moines, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the West Des Moines Community School District, as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the West Des Moines Community School District, as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note 15 to the basic financial statements, the District implemented Governmental Accounting Standards Board Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. As a result, the District's net positions for governmental activities and business-type activities has been restated. Our opinions are not modified with respect to this matter.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-13 and 56-63 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The other supplementary information, as listed in the table of contents, and schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, and the other information, including the introductory and statistical sections and are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The other supplementary information, as listed in the table of contents and the schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 16, 2018 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
November 16, 2018



WEST DES MOINES
COMMUNITY SCHOOLS

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

It is an honor to present to you the financial picture of West Des Moines Community School District. We offer readers of the District's financial statements this narrative overview and analysis of the financial activities of the West Des Moines Community School District for the fiscal year ended June 30, 2018. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal.

FINANCIAL HIGHLIGHTS

The District showed a decrease in net position of \$8,653,898 during the year ended June 30, 2018, compared to an increase in net position of \$3,910,632 during the year ended 2017. The District restated beginning net position for governmental activities by \$16,443,956, business-type activities by \$286,658 and proprietary funds by \$286,658 to retroactively report the beginning net other postemployment benefit liability for the implementation of Governmental Accounting Standard Board Statement No. 75.

Total revenues for the fiscal year ended June 30, 2018 and 2017 of \$140,342,847 and \$138,297,080 were comprised of general revenues in the amount of \$105,427,337 and \$103,664,575 and program revenues totaling \$34,915,510 and \$34,632,505, respectively.

As of June 30, 2018, the District's governmental funds reported combined ending fund balances of \$50,052,840 a decrease of \$9,798,964 in comparison to 2017. As of June 30, 2017, the District's governmental funds reported combined ending fund balances of \$59,851,804, an increase of \$4,615,520 in comparison with 2016.

As of June 30, 2018, unassigned fund balance of the General Fund was \$12,388,268 or 10.4 percent of total General Fund expenditures. As of June 30, 2017, unassigned fund balance of the General Fund was \$17,584,460 or 17.4 percent of total General Fund expenditures.

The West Des Moines Community School District's total bonded long-term debt decreased by \$7,043,456 during the fiscal year 2018 and decreased by \$6,628,456 during fiscal year ended June 30, 2017. The 2018 decrease was due to scheduled principal payments. The 2017 decrease was due to scheduled principal payments.

OVERVIEW OF FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the West Des Moines Community School District's basic financial statements. The District's basic financial statements comprise three components: 1) government-wide financial statements, 2) fund financial statements and 3) notes to the basic financial statements. This report also contains other information in addition to the basic financial statements themselves.

Government-wide financial statements. The government-wide financial statements are designed to provide readers with a broad overview of West Des Moines Community School District's finances in a manner similar to a private-sector business.

The statement of net position presents information on all of West Des Moines Community School District's assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the District is improving or deteriorating.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

The statement of activities presents information showing how the District's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Both of the government-wide financial statements reflect functions of West Des Moines Community School District that are principally supported by taxes and intergovernmental revenues (governmental activities). The governmental activities of the District include instruction, support services, noninstructional programs, other and interest on long-term debt. Business-type activities are those that the District charges a fee to help cover the costs, such as School Nutrition and Community Education.

The government-wide financial statements include only West Des Moines Community School District. There are no other organizations or agencies whose financial statements should be combined and presented with the financial statements of the District.

Fund financial statements. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The West Des Moines Community School District, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the District can be divided into three categories: governmental funds, proprietary funds and fiduciary funds.

Governmental funds. Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financial requirements.

Because the focus of governmental fund is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The West Des Moines Community School District maintains six individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures and changes in fund balances for the General Fund, Management Fund, Capital Projects Fund, and Debt Service Fund which are considered to be major funds. Data from the other governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements elsewhere in this report. The basic governmental fund financial statements can be found on pages 18 through 21 of this report.

Proprietary funds. The District maintains two types of proprietary funds: enterprise and internal service. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The District maintains two enterprise funds. Internal service funds are used to report the same functions presented as governmental activities in the government-wide financial statements. The District maintains one internal service fund to account for the premium and claim payments for the self-insured health insurance and dental insurance plans for District's employees. Internal service funds are an accounting device used to accumulate and allocate costs internally among

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

the District's various functions. Because the service provided by the District predominately benefits governmental, rather than business-type functions, it has been included within governmental activities in the government-wide financial statements. The basic proprietary fund financial statements can be found on pages 22 through 27 of this report.

Fiduciary funds. Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the West Des Moines Community School District's own programs. The fiduciary fund of the District is an agency fund. Agency funds are custodial in nature and do not involve measurement of results of operation. The basic fiduciary fund financial statement can be found on page 28 of this report.

Notes to financial statements. The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

Other information. In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the West Des Moines Community School District's budgetary comparison, schedule of changes in the District's total OPEB liability and related ratios and schedule of proportionate share of the net pension liability and schedule of contributions. Required supplementary information can be found on pages 56 through 63 of this report.

The combining statements referred to earlier in connection with nonmajor governmental funds are presented immediately following the required supplementary information.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. The District's total net position has decreased from a year ago from \$163,919,366 (restated) to \$155,265,468.

Table 1 - Net Position

	Restated		Restated		Restated	
	Governmental Activities		Business-Type Activities		Total District	
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017
Current and other assets	\$ 154,047,261	\$ 151,751,617	\$ 4,571,691	\$ 4,446,937	\$ 158,618,952	\$ 156,198,554
Capital assets	210,345,738	214,970,646	1,460,202	1,470,428	211,805,940	216,441,074
Total assets	364,392,999	366,722,263	6,031,893	5,917,365	370,424,892	372,639,628
Deferred outflows of resources, pension related deferred outflows	16,151,342	14,462,024	843,921	786,413	16,995,263	15,248,437
Noncurrent liabilities	130,768,473	132,657,612	3,715,939	3,487,827	134,484,412	136,145,439
Other liabilities	32,098,318	27,364,684	448,680	369,819	32,546,998	27,734,503
Total liabilities	162,866,791	160,022,296	4,164,619	3,857,646	167,031,410	163,879,942
Deferred revenue	63,229,848	59,187,437	-	-	63,229,848	59,187,437
OPEB related deferred inflows	612,188	-	20,041	-	632,229	-
Pension related deferred inflows	1,228,103	856,384	33,097	44,936	1,261,200	901,320
Total deferred inflows of resources	65,070,139	60,043,821	53,138	44,936	65,123,277	60,088,757
Net position:						
Net investment in capital assets	160,105,762	157,687,214	1,460,202	1,470,428	161,565,964	159,157,642
Restricted	29,030,351	33,095,051	-	-	29,030,351	33,095,051
Unrestricted	(36,528,702)	(29,664,095)	1,197,855	1,330,768	(35,330,847)	(28,333,327)
Total net position	\$ 152,607,411	\$ 161,118,170	\$ 2,658,057	\$ 2,801,196	\$ 155,265,468	\$ 163,919,366

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

A significant portion of the District's total assets reflects its investment in capital assets. The District uses these capital assets to provide educational services; consequently, these assets are not available for future spending. The District's net investment in capital assets-net position was \$161,565,964 for 2018 and \$159,157,642 for 2017. Although the District's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources since the capital assets themselves cannot be used to liquidate these liabilities.

The restricted portion of the District's net position (18.7 percent for 2018 and 20.2 percent for 2017) represents resources that are subject to external restrictions on how they may be used. These restrictions for 2018 include \$3,482,187 for categorical funding, \$5,647,292 for physical plant and equipment levy, \$2,514,917 for debt service, \$6,721,591 for statewide sales and services tax, \$9,278,121 for management levy, \$882,078 for student activities and \$504,165 for public education and recreation levy. The remaining balance of unrestricted net position, (\$35,330,847) for 2018 and (\$28,333,327) for 2017, is in a deficit position, due to the unfunded net pension liability and net other postemployment benefit (OPEB) liability.

At the end of the current and prior fiscal years, the West Des Moines Community School District is able to report positive balances in two categories of net position. Unrestricted net position is deficit in the current and prior fiscal year due to the net pension liability and net OPEB liability.

The District implemented Governmental Accounting Standard Board Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, as of July 1, 2017. This required a restatement to beginning net position of the governmental activities, business-type activities, and each enterprise fund to record the beginning net OPEB liability. The net position was reduced by \$16,443,956, \$286,658, \$168,722, and \$117,936 for the governmental activities, business-type activities, School Nutrition nonmajor enterprise fund, and Community Education nonmajor enterprise fund, respectively.

Table 2 highlights the District's revenues and expenses for the fiscal year ended June 30, 2018 and 2017. This table utilizes the full accrual method of accounting. Revenues less expenses yielded the change in net position. This change was anticipated and it enabled the District to acquire capital assets and to service its long-term debt.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Table 2 - Changes in Net Position

	Not Restated		Not Restated		Not Restated	
	Governmental Activities		Business-Type Activities		Total District	
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017
Revenues:						
Program revenues:						
Charges for service and sales	\$ 11,324,217	\$ 9,995,976	\$ 4,901,463	\$ 5,503,576	\$ 16,225,680	\$ 15,499,552
Operating grants and contributions	16,345,122	16,829,008	2,187,366	2,164,865	18,532,488	18,993,873
Capital grants and contributions	-	-	157,342	139,080	157,342	139,080
General revenues:						
Property taxes and other taxes	67,390,025	66,145,821	-	-	67,390,025	66,145,821
State sources	36,500,781	36,420,167	-	-	36,500,781	36,420,167
Investment earnings	1,400,113	1,055,270	41,764	24,460	1,441,877	1,079,730
Other	94,654	18,857	-	-	94,654	18,857
Total revenues	133,054,912	130,465,099	7,287,935	7,831,981	140,342,847	138,297,080
Program expenses:						
Instruction	95,705,186	87,584,473	-	-	95,705,186	87,584,473
Support services	40,132,796	33,313,550	-	-	40,132,796	33,313,550
Noninstructional programs	521,785	472,727	-	-	521,785	472,727
Other	3,898,573	3,814,800	-	-	3,898,573	3,814,800
Interest on long-term debt	1,543,841	1,703,274	-	-	1,543,841	1,703,274
School nutrition	-	-	4,104,322	4,442,272	4,104,322	4,442,272
Community education	-	-	3,090,242	3,055,352	3,090,242	3,055,352
Total expenses	141,802,181	126,888,824	7,194,564	7,497,624	148,996,745	134,386,448
Excess (deficiency) of revenues over (under) expenses before transfers	(8,747,269)	3,576,275	93,371	334,357	(8,653,898)	3,910,632
Transfers	236,510	125,000	(236,510)	(125,000)	-	-
Change in net position	(8,510,759)	3,701,275	(143,139)	209,357	(8,653,898)	3,910,632
Net position, beginning	161,118,170	173,860,851	2,801,196	2,878,497	163,919,366	176,739,348
Net position, ending	<u>\$ 152,607,411</u>	<u>\$ 177,562,126</u>	<u>\$ 2,658,057</u>	<u>\$ 3,087,854</u>	<u>\$ 155,265,468</u>	<u>\$ 180,649,980</u>

The District's total net position decreased by \$8,653,898 during the current fiscal year as compared to an increase of \$3,910,632 in 2017. The governmental activities net position decreased by \$8,510,759 in 2018 and increased by \$3,701,275 in 2017. The business-type activities, which include nutrition and community education, decreased by \$143,139 in 2018 and increased by \$209,357 in 2017.

Revenue is further divided into two major components: program revenue and general revenue. Program revenue is defined as charges for services and sales, operating and capital grants and contributions. General revenue includes taxes and unrestricted grants such as state foundation support. Expenses are shown in programs including instruction, support services, noninstructional programs, other, interest on long-term debt, school nutrition and community education.

GOVERNMENTAL ACTIVITIES

Revenues for governmental activities were \$133,054,912 and expenses were \$141,802,181. Property taxes and other taxes such as sales tax and utility replacement tax and state sources including state foundation aid are the primary sources of revenue for the District. These sources represent 78 percent of total revenues. Instruction constitutes the largest portion of governmental activities expenses at \$95,705,186 or 67.5 percent of total expenses.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Table 3 discloses cost of services for governmental and business-type activities. The total cost of services column contains all costs related to the programs and the net cost column shows how much of the total amount is not covered by program revenues. Succinctly put, net costs are costs that must be covered by state aid or local taxes. The difference in these two columns would represent restricted grants and charges for services.

Table 3 - Governmental and Business-Type Activities

	Total Cost of Services		Net Cost of Services	
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017
Instruction	\$ 95,705,186	\$ 87,584,473	\$ 73,818,379	\$ 66,411,389
Support services	40,132,796	33,313,550	38,248,837	31,476,450
Noninstructional programs	521,785	472,727	521,785	472,727
Other	3,898,573	3,814,800	-	-
Interest on long-term debt	1,543,841	1,703,274	1,543,841	1,703,274
School nutrition	4,104,322	4,442,272	(399,421)	(93,700)
Community education	3,090,242	3,055,352	347,814	(216,197)
Total expenses	\$ 148,996,745	\$ 134,386,448	\$ 114,081,235	\$ 99,753,943

Net cost of services is 76.6 percent of total cost of services in 2018 and 74.2 percent of total cost of services in 2017. The cost of governmental activities financed by users of the District's programs was \$11,324,217 in 2018 and \$9,995,976 in 2017. Federal and state governments subsidized certain programs with grants and contributions totaling \$16,345,122 in 2018 and \$16,829,008 for 2017. The remaining net cost of the governmental activities was financed with property tax, state foundation aid and investment earnings.

Approximately 80 percent of the District's general fund budget is comprised of salary and benefit costs. Historically speaking, collective bargaining contracts have increased approximately four percent or more each year. Until 2010, District staffing had increased for several consecutive years due to gradual enrollment growth, changing student needs and demographics. More recently, the Board of Education has approved the administration's recommendation to reduce some teaching and staff positions in various education programs and support areas. These reductions were made in response to state funding cuts.

BUSINESS-TYPE ACTIVITIES

- The School Nutrition and Community Education programs constitute the business-type activities.
- The primary sources of income are charges for services and federal revenues.
- The School Nutrition Fund's primary expenses are staff and food. The District's free and reduced participation continued to increase during the fiscal year. The School Nutrition Fund had an increase in net position of \$153,410. For fiscal year 2017 net position increased \$251,250.
- The primary source of revenue for the Community Education fund is sales of services for educational programs. The Community Education fund had a decrease in net position of \$501,001 during the fiscal year, primarily due to moving facilities activities to the General Fund. For fiscal year 2017 net position increased \$212,436.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

As noted earlier, the West Des Moines Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental funds. The focus of the West Des Moines Community School District's governmental funds is to provide information on near-term inflows, outflows and balances of spendable resources. Such information is useful in assessing the District's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

As of the end of the current fiscal year, the West Des Moines Community School District's governmental funds reported combined ending fund balances of \$50,052,840, a decrease of \$9,798,964 in comparison with the prior year fund balance of \$59,851,804. Approximately 25 percent or \$12,388,268 for 2018 and 29 percent or \$17,584,460 for 2017, constitutes unassigned fund balance, which is available for spending at the government's discretion. The majority of the remaining fund balance for 2018 and 2017 is restricted to indicate that it is not available for new spending because it has already been restricted for other purposes. The District committed \$4,881,607 and \$5,567,381 of fund balance for curriculum as of June 30, 2018 and 2017, respectively.

The General Fund is the chief operating fund of the District. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$12,388,268 and \$17,584,460 for 2018 and 2017, respectively while total fund balance reached \$20,821,694 in 2018 and \$27,310,984 for 2017. This decrease is primarily attributable to the General Fund's contribution to the Health Insurance Fund of approximately \$5 million of premiums held at 2017 that was subsequently paid in 2018. Thus, 2018 reflected approximately 18 months of health and dental insurance payments. Twelve months of health and dental insurance payments are anticipated in 2019.

As a measure of the General Fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 10.5 percent of total General Fund expenditures, and total fund balance represents approximately 17.6 percent of that same amount for 2018. For 2017, unassigned fund balance represents 17.4 percent of total General Fund expenditures, while total fund balance represents approximately 27.0 percent of that same amount.

The fund balance of the District's General Fund decreased by \$6,489,290 during June 30, 2018 primarily due to the \$5 million health and dental insurance payments noted above and spending down categorical carryovers by approximately \$605,000.

The Management Fund fund balance decreased \$1,438,189 to \$9,278,121 in 2018 from \$10,716,310 in 2017. The decrease is primarily due to payment of benefit such as the early retirement plan.

The Capital Projects Fund fund balance decreased to \$18,566,782 from \$20,593,244 in 2017. This decrease is due to scheduled debt service transfers of sales tax revenues to the Debt Service Fund.

The Debt Service Fund balance is \$0 in both fiscal years. The District paid \$6,350,000 in principal and \$2,230,798 in interest on the bonded long-term debt of the District.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

BUDGETARY HIGHLIGHTS

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules – Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. In accordance with the Code of Iowa, the Board of Education annually adopts a program budget which includes all funds except internal service and agency funds as described in the note to required supplementary information.

A comparison of the actual expenditures/expenses of the District's budgeted funds with the final amended program budget amounts is as follows:

	Budget		Actual Expenditures/ Expenses	Variance
	Original	Final		
Instruction	\$ 83,385,334	\$ 88,120,851	\$ 91,174,130	\$ (3,053,279)
Support services	33,285,310	39,120,251	34,476,151	4,644,100
Noninstructional programs	7,473,897	7,973,897	7,390,331	583,566
Other	22,323,991	22,823,991	17,601,803	5,222,188
Total	\$ 146,468,532	\$ 158,038,990	\$ 150,642,415	\$ 7,396,575

The original budget is published at least three months prior to the start of the fiscal year-often prior to settlement of collective bargaining agreements and before final legislative action on the state budget. In the latter portion of the fiscal year the amended budget is published with "not to exceed" amounts to satisfy Iowa's statutory reporting requirements. The District expended less than budgeted by \$7,396,575.

CAPITAL ASSETS AND DEBT ADMINISTRATION

The following table shows ending balances of capital assets invested in various categories. The District recognized a total net decrease of \$4,635,134 for 2018. The decrease is due to depreciation exceeding current year additions.

Table 4 - Capital Assets as of June 30 (Net of Depreciation)

	2018	2017
Land	\$ 4,095,848	\$ 4,095,848
Construction-in-progress	1,887,679	358,728
Buildings and improvements	202,253,537	208,427,928
Machinery and equipment	3,568,876	3,558,570
Total	\$ 211,805,940	\$ 216,441,074

Additional information about the District's capital assets can be found in Note 5 to the financial statements.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Debt

As of June 30, 2018, the West Des Moines Community School District had bonds and capital loan notes outstanding totaling \$54,072,957 compared to \$61,116,413 as of June 30, 2017. In the current year, the District paid \$6,350,000 in principal and \$2,230,798 in interest on outstanding debt.

	2018	2017
Capital loan notes	\$ 16,776,981	\$ 21,902,641
Revenue bonds	37,295,976	39,213,772
	<u>\$ 54,072,957</u>	<u>\$ 61,116,413</u>

As of June 30, 2018, the District's available legal debt margin was \$322,987,428 compared to \$285,496,671 as of June 30, 2017. Additional information about the District's long-term debt can be found in Note 6 to the financial statements.

Other long-term debt consists of:

Outstanding Long-Term Obligations						
	Governmental Activities		Business-Type Activities		Total District	
	2018	2017	2018	2017	2018	2017
Early retirement	\$ 1,638,815	\$ 1,293,574	\$ -	\$ -	\$ 1,638,815	\$ 1,293,574
Compensated						
absences	1,484,859	444,368	27,716	27,103	1,512,575	471,471
Net pension liability	54,324,980	51,213,851	2,801,293	2,637,550	57,126,273	53,851,401
Net OPEB liability	27,938,536	25,972,337	914,646	850,277	28,853,182	26,822,614
Total	<u>\$ 85,387,190</u>	<u>\$ 78,924,130</u>	<u>\$ 3,743,655</u>	<u>\$ 3,514,930</u>	<u>\$ 89,130,845</u>	<u>\$ 82,439,060</u>

Additional information about the District's other long-term obligations can be found Note 7, Note 8, and Note 9 to the financial statements.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET AND RATES

The District is located in the central part of the state, within the larger Des Moines metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District have remained strong during the past ten years, following several years of very high economic growth and steady enrollment growth. This growth has had a positive effect on employment and the District's tax base. The District's tax base increased at an average annual rate of approximately 3.80% over the past 15 years. In fiscal year 2018 and 2017, the District experienced an increase in valuation of 2.43% and 7.03% respectively.

The tax base is expected to grow more slowly in the next five years.

West Des Moines Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Retail sales, building permits and population increases in the western suburbs have generally exceeded that of any other location in the metropolitan area or in the state of Iowa. Growth in the Des Moines area suburbs is expected to exceed the state average. A large percentage of these increases are occurring outside the District's boundaries.

In recent years, the state of Iowa faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. After two consecutive years of 4.5% declines in the state's net receipts, in 2011, the state's net receipts increased by 5.8%. In light of these challenging economic times, the District has publicly discussed operating budget concerns looking ahead to the next five years. In May 2014, the Board approved a plan to reduce \$2.7 million in General Fund Budget in the 2014-15 fiscal year including the closing of Phenix Elementary School. The Board of Education continues to implement the District's long-range facilities plan, which was approved in March 2010. In addition, the Board has directed the Administration to review this plan so that additional Revenue Bonds are not necessary to finance the plan and the Administration has since presented a plan to make \$12.3 million in scope reductions to this plan.

Request for Information

These financial statements and discussions are designed to provide our students, citizens, taxpayers, investors and creditors with a complete disclosure of the District's finances and to demonstrate a high degree of accountability for the public dollars entrusted to us. If you have questions about this report or need additional information, please contact Mr. Paul Bobek, Chief Financial officer, West Des Moines Community School District, 3550 Mills Civic Parkway, West Des Moines, Iowa 50265-5556.



WEST DES MOINES
COMMUNITY SCHOOLS

West Des Moines Community School District

Statement of Net Position

June 30, 2018

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents and investments	\$ 81,688,030	\$ 2,544,160	\$ 84,232,190
Restricted cash, cash equivalents and investments	6,347,898	-	6,347,898
Receivables:			
Property taxes	63,371,419	-	63,371,419
Other	4,102,864	268,510	4,371,374
Inventories	69,632	226,439	296,071
Internal balances	(1,532,582)	1,532,582	-
Total current assets	154,047,261	4,571,691	158,618,952
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	4,095,848	-	4,095,848
Construction-in-progress	1,887,679	-	1,887,679
Depreciable:			
Buildings and improvements	297,390,068	-	297,390,068
Machinery and equipment	14,378,396	4,088,478	18,466,874
Accumulated depreciation	(107,406,253)	(2,628,276)	(110,034,529)
Total noncurrent assets	210,345,738	1,460,202	211,805,940
Total assets	364,392,999	6,031,893	370,424,892
Deferred outflows of resources,			
Pension related deferred outflows	16,151,342	843,921	16,995,263

See Notes to Basic Financial Statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	7,194,928	140,995	7,335,923
Claims payable	3,208,384	-	3,208,384
Accrued liabilities	10,642,907	-	10,642,907
Unearned revenue	1,584,010	279,969	1,863,979
Capital loan notes	4,755,000	-	4,755,000
Revenue bonds	1,860,000	-	1,860,000
Compensated absences	437,859	27,716	465,575
Liability for early retirement	1,638,815	-	1,638,815
Accrued interest payable	776,415	-	776,415
Total current liabilities	32,098,318	448,680	32,546,998
Noncurrent liabilities:			
Capital notes	12,021,981	-	12,021,981
Revenue bonds	35,435,976	-	35,435,976
Compensated absences	1,047,000	-	1,047,000
Net pension liability	54,324,980	2,801,293	57,126,273
Net OPEB liability	27,938,536	914,646	28,853,182
Total noncurrent liabilities	130,768,473	3,715,939	134,484,412
Total liabilities	162,866,791	4,164,619	167,031,410
Deferred inflows of resources:			
Succeeding year property tax	63,229,848	-	63,229,848
Pension related deferred inflows	1,228,103	33,097	1,261,200
OPEB related deferred inflows	612,188	20,041	632,229
Total deferred inflows of resources	65,070,139	53,138	65,123,277
Net Position			
Net investment in capital assets	160,105,762	1,460,202	161,565,964
Restricted for:			
Categorical funding	3,482,187	-	3,482,187
Physical plant and equipment levy	5,647,292	-	5,647,292
Debt service	2,514,917	-	2,514,917
Statewide sales and services tax	6,721,591	-	6,721,591
Management levy	9,278,121	-	9,278,121
Public education and recreation levy	504,165	-	504,165
Student activities	882,078	-	882,078
Unrestricted	(36,528,702)	1,197,855	(35,330,847)
Total net position	\$ 152,607,411	\$ 2,658,057	\$ 155,265,468

West Des Moines Community School District

**Statement of Activities
Year Ended June 30, 2018**

Functions/Programs	Expenses	Charges for Services and Sales
Primary Government:		
Governmental activities:		
Instruction	\$ 95,705,186	\$ 9,440,258
Support services	40,132,796	1,883,959
Noninstructional programs	521,785	-
Other	3,898,573	-
Interest on long-term debt	1,543,841	-
Total governmental activities	141,802,181	11,324,217
Business-type activities:		
School nutrition	4,104,322	2,159,035
Community education	3,090,242	2,742,428
Total business-type activities	7,194,564	4,901,463
Total primary government	\$ 148,996,745	\$ 16,225,680

General revenues and transfers:

General revenues:

Property taxes for general purposes
Property taxes for specific purposes
Revenue in lieu of taxes
Statewide sales and services tax
Utility replacement tax
State foundation aid, unrestricted
Investment earnings
Gain on sale of capital assets

Transfers

Total general revenues and transfers

Change in net position

Net position, beginning of year, as restated

Net position, end of year

See Notes to Basic Financial Statements.

Program Revenues		Net (Expense) Revenue and Changes in Net Position			
Operating Grants and Contributions		Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
\$	12,446,549	\$ -	\$ (73,818,379)	\$ -	\$ (73,818,379)
	-	-	(38,248,837)	-	(38,248,837)
	-	-	(521,785)	-	(521,785)
	3,898,573	-	-	-	-
	-	-	(1,543,841)	-	(1,543,841)
	16,345,122	-	(114,132,842)	-	(114,132,842)
	2,187,366	157,342	-	399,421	399,421
	-	-	-	(347,814)	(347,814)
	2,187,366	157,342	-	51,607	51,607
\$	18,532,488	\$ 157,342	(114,132,842)	51,607	(114,081,235)
			48,232,623	-	48,232,623
			10,018,146	-	10,018,146
			2,435,044	-	2,435,044
			8,203,971	-	8,203,971
			935,285	-	935,285
			34,065,737	-	34,065,737
			1,400,113	41,764	1,441,877
			94,654	-	94,654
			236,510	(236,510)	-
			105,622,083	(194,746)	105,427,337
			(8,510,759)	(143,139)	(8,653,898)
			161,118,170	2,801,196	163,919,366
\$	152,607,411	\$	2,658,057	\$	155,265,468

West Des Moines Community School District

Balance Sheet Governmental Funds June 30, 2018

	General	Special Revenue Management	Capital Projects	Debt Service	Nonmajor Governmental Funds	Total
Assets						
Cash and investments	\$ 33,207,957	\$ 11,613,728	\$ 12,828,208	\$ -	\$ 1,513,299	\$ 59,163,192
Restricted cash and investments	-	-	6,347,898	-	-	6,347,898
Receivables:						
Property taxes	45,442,606	8,909,226	8,383,229	-	636,358	63,371,419
Due from other governments	128,685	-	862,126	-	-	990,811
Other	3,081,515	17,612	-	-	12,926	3,112,053
Inventories	69,632	-	-	-	-	69,632
Advance to other funds	-	-	50,875	-	-	50,875
Total assets	\$ 81,930,395	\$ 20,540,566	\$ 28,472,336	\$ -	\$ 2,162,583	\$ 133,105,880
Liabilities, Deferred Inflows of Resources and and Fund Balances						
Liabilities:						
Accounts payable	\$ 5,063,455	\$ 18,836	\$ 1,390,143	\$ -	\$ 90,547	\$ 6,562,981
Accrued liabilities	10,642,907	-	-	-	-	10,642,907
Claims payable	-	700,000	-	-	-	700,000
Unearned revenue	77,614	-	-	-	-	77,614
Liability for early retirement	-	1,638,815	-	-	-	1,638,815
Advance from other funds	-	-	-	-	50,875	50,875
Total liabilities	15,783,976	2,357,651	1,390,143	-	141,422	19,673,192
Deferred inflows of resources, Unavailable revenue:						
Succeeding year property tax	45,324,725	8,904,794	8,365,411	-	634,918	63,229,848
Statewide sales and services	-	-	150,000	-	-	150,000
Total deferred inflows of of resources	45,324,725	8,904,794	8,515,411	-	634,918	63,379,848
Fund balances:						
Nonspendable, inventories	69,632	-	-	-	-	69,632
Restricted for:						
Categorical funding	3,482,187	-	-	-	-	3,482,187
Physical plant and equipment	-	-	5,647,292	-	-	5,647,292
Debt service	-	-	6,347,898	-	-	6,347,898
School infrastructure	-	-	6,571,592	-	-	6,571,592
Management levy	-	9,278,121	-	-	-	9,278,121
Public education and recreation levy	-	-	-	-	504,165	504,165
Student activities	-	-	-	-	882,078	882,078
Committed for curriculum	4,881,607	-	-	-	-	4,881,607
Unassigned	12,388,268	-	-	-	-	12,388,268
Total fund balances	20,821,694	9,278,121	18,566,782	-	1,386,243	50,052,840
Total liabilities, deferred inflows of resources and fund balances	\$ 81,930,395	\$ 20,540,566	\$ 28,472,336	\$ -	\$ 2,162,583	\$ 133,105,880

See Notes to Basic Financial Statements.

West Des Moines Community School District

**Reconciliation of Total Governmental Fund Balances
to Net Position of Governmental Activities
June 30, 2018**

Total fund balances \$ 50,052,840

Amounts reported for governmental activities in the statement of net position are different because:

Capital assets net of accumulated depreciation used in governmental activities are not financial resources and, therefore, are not reported in the funds 210,345,738

Receivables not collected within 60 days of year-end are not available soon enough to pay for the current period's expenditures and, therefore, are unavailable in the funds 150,000

Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the Internal Service Fund are included in governmental activities in the statement of net position:

Other current assets	22,524,838	
Other current liabilities	<u>(4,646,727)</u>	17,878,111

Internal Service Fund allocated to business-type activities (1,532,582)

Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds as follows:

Deferred outflows of resources related to pension	16,151,342	
Deferred inflows of resources related to pension	(1,228,103)	
Deferred inflows of resources related to OPEB	<u>(612,188)</u>	14,311,051

Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the funds:

Net pension liability	(54,324,980)	
Accrued interest payable	(776,415)	
Capital notes, current	(4,755,000)	
Capital notes, noncurrent	(10,235,000)	
Premium on capital notes	(1,786,981)	
Revenue bonds, current	(1,860,000)	
Revenue bonds, noncurrent	(34,365,000)	
Discount on revenue bonds	64,722	
Premium on revenue bonds	(1,135,698)	
Compensated absences, current	(437,859)	
Compensated absences, noncurrent	(1,047,000)	
Other postemployment benefits payable	<u>(27,938,536)</u>	(138,597,747)
Net position of governmental activities		<u><u>\$ 152,607,411</u></u>

See Notes to Basic Financial Statements.

West Des Moines Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2018

	General	Special Revenue Management	Capital Projects	Debt Service	Nonmajor Governmental Funds	Total
Revenues:						
Local sources:						
Property taxes	\$ 48,232,623	\$ 1,803,725	\$ 7,628,026	\$ -	\$ 586,395	\$ 58,250,769
Utility replacement	778,775	29,279	117,715	-	9,516	935,285
Other local sources	2,020,545	222,767	4,591	-	586,915	2,834,818
Investment earnings	681,462	155,590	540,963	-	22,098	1,400,113
Student activities	204,093	-	-	-	1,183,825	1,387,918
Tuition/transportation	6,326,370	-	-	-	-	6,326,370
State sources:						
State foundation aid	34,065,737	-	-	-	-	34,065,737
Statewide sales and services tax	-	-	8,353,971	-	-	8,353,971
Other state sources	16,729,024	75,700	320,653	-	24,603	17,149,980
Federal sources	2,405,297	-	-	-	-	2,405,297
Total revenues	111,443,926	2,287,061	16,965,919	-	2,413,352	133,110,258
Expenditures:						
Current:						
Instruction	84,112,383	1,121,452	4,112,287	-	1,820,605	91,166,727
Support services:						
Student	3,911,011	-	-	-	9,946	3,920,957
Instructional staff	5,017,971	-	-	-	3,139	5,021,110
General administration	855,752	521,123	155,550	-	334	1,532,759
School building	5,208,013	-	-	-	-	5,208,013
Business administration	3,475,829	-	765,939	-	33,286	4,275,054
Plant operation and maintenance	7,986,322	2,082,675	255,376	-	34,807	10,359,180
Student transportation	3,645,522	-	-	-	2,927	3,648,449
Noninstructional programs	-	-	-	-	509,347	509,347
Other:						
Other	-	-	-	6,500	-	6,500
AEA support	3,898,573	-	-	-	-	3,898,573
Capital outlay	-	-	5,115,932	-	-	5,115,932
Debt service:						
Principal	-	-	-	6,350,000	-	6,350,000
Interest	-	-	-	2,230,798	-	2,230,798
Total expenditures	118,111,376	3,725,250	10,405,084	8,587,298	2,414,391	143,243,399
Excess (deficiency) of revenues over (under) expenditures	(6,667,450)	(1,438,189)	6,560,835	(8,587,298)	(1,039)	(10,133,141)
Other financing sources (uses):						
Transfers in	246,509	-	-	8,587,298	166,016	8,999,823
Transfers (out)	(166,016)	-	(8,587,297)	-	(10,000)	(8,763,313)
Proceeds from sale of capital assets	97,667	-	-	-	-	97,667
Total other financing sources (uses)	178,160	-	(8,587,297)	8,587,298	156,016	334,177
Net change in fund balances	(6,489,290)	(1,438,189)	(2,026,462)	-	154,977	(9,798,964)
Fund balances, beginning	27,310,984	10,716,310	20,593,244	-	1,231,266	59,851,804
Fund balances, end of year	\$ 20,821,694	\$ 9,278,121	\$ 18,566,782	\$ -	\$ 1,386,243	\$ 50,052,840

See Notes to Basic Financial Statements.

West Des Moines Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2018

Net change in fund balances - total governmental funds		\$	(9,798,964)
Amounts reported for governmental activities in the statement of activities are different because:			
Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period:			
Capital outlay	4,094,314		
Depreciation expense by function:			
Instruction	(4,835,430)		
Support services	(3,880,779)		
Proceeds from sale of capital assets	(97,667)		
Gain on sale of capital assets	94,654		(4,624,908)
Revenue in the statement of activities that does not provide current financial resources are not reported as revenues in the funds, statewide sales and use tax			(150,000)
The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of long-term debt increases liabilities in the statement of net position, while the repayment of long-term debt reduces long-term liabilities. In the statement of activities, interest is accrued on outstanding bonds, whereas in the governmental funds an interest expenditure is reported when due. The following is the detail of the net effect of these differences in the treatment of long-term debt and related items:			
Repayment of bond principal	6,350,000		
Accretion of premium	699,620		
Amortization of discount	(6,164)		
Interest	1		7,043,457
Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.			3,931,505
Change in Internal Service Fund allocation to business-type activities			(204,452)
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:			
Change in compensated absences	(1,040,491)		
Change in net pension liability	(1,793,530)		
Change in liability for early retirement:	705,011		
Change in liability for other postemployment benefits	(2,578,387)		(4,707,397)
Change in net position of governmental activities		\$	(8,510,759)

See Notes to Basic Financial Statements.

West Des Moines Community School District

Statement of Net Position

Proprietary Funds

June 30, 2018

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Assets		
Current assets:		
Cash, cash equivalents and investments	\$ 2,544,160	\$ 22,524,838
Other receivables	268,510	-
Inventories	226,439	-
Total current assets	3,039,109	22,524,838
Noncurrent assets:		
Capital assets:		
Machinery and equipment	4,088,478	-
Less accumulated depreciation	(2,628,276)	-
Total noncurrent assets	1,460,202	-
Total assets	4,499,311	22,524,838
Deferred outflows of resources, pension related deferred outflows	843,921	-
Liabilities		
Current liabilities:		
Accounts payable	140,995	631,947
Compensated absences	27,716	-
Claims payable	-	2,508,384
Unearned revenue	279,969	1,506,396
Total current liabilities	448,680	4,646,727
Long-term liabilities:		
Net pension liability	2,801,293	-
Net OPEB liability	914,646	-
Total long-term liabilities	3,715,939	-
Total liabilities	4,164,619	4,646,727
Deferred inflows of resources, Pension related deferred inflows	33,097	-
Net OPEB related deferred inflows	20,041	-
Total deferred inflows of resources	53,138	-
Net Position		
Net investment in capital assets	1,460,202	-
Unrestricted	(334,727)	17,878,111
Total net position	\$ 1,125,475	\$ 17,878,111

See Notes to Basic Financial Statements.

West Des Moines Community School District

**Reconciliation of Enterprise Funds Net Position to the Net Position of
Business-Type Activities
June 30, 2018**

Total enterprise funds net position	\$ 1,125,475
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Amounts reported for business-type activities in the statement of net position are different because internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the Internal Service Fund is included in governmental activities in the statement of net position.

1,532,582

Net position of business-type activities

<u>\$ 2,658,057</u>

See Notes to Basic Financial Statements.

West Des Moines Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2018**

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Operating revenues:		
Food sales	\$ 2,159,035	\$ -
Sale of services	2,742,428	-
Charges for services	-	21,797,162
Total operating revenues	4,901,463	21,797,162
Operating expenses:		
Salaries	3,188,912	-
Employee benefits	1,424,467	-
Purchased services	133,524	1,512,508
Food consumed	1,617,260	-
Supplies	805,632	157,189
Depreciation	220,705	-
Claims and administration	-	16,195,960
Other	8,516	-
Total operating expenses	7,399,016	17,865,657
Operating income (loss)	(2,497,553)	3,931,505
Nonoperating revenues (expenses):		
Federal food commodities	340,268	-
Federal appropriations	1,823,111	-
State appropriations	23,987	-
Interest	41,764	-
Total nonoperating revenues (expenses)	2,229,130	-
Income (loss) before capital contributions and transfers	(268,423)	3,931,505
Capital contributions	157,342	-
Transfers (out)	(236,510)	-
Change in net position	(347,591)	3,931,505
Net position, beginning of year, as restated	1,473,066	13,946,606
Net position, end of year	\$ 1,125,475	\$ 17,878,111

See Notes to Basic Financial Statements.

West Des Moines Community School District

**Reconciliation of the Change in Net Position of Enterprise Funds to the
Statement of Activities
Year Ended June 30, 2018**

Net changes in net position in enterprise funds	\$ (347,591)
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Amounts reported for proprietary activities in the statement of activities are different because internal service funds are used by management to charge the costs of various activities internally to individual funds. The net revenue of certain activities of the Internal Service Fund is reported with business-type activities.

204,452

Change in net position of business-type activities

<u>\$ (143,139)</u>

See Notes to Basic Financial Statements.

West Des Moines Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2018

	Business-Type Activities	Governmental Activities
	Nonmajor Enterprise Funds	Internal Service Fund
Cash flows from operating activities:		
Receipts from customers and users	\$ 4,853,852	23,187,118
Payments to suppliers	(2,299,852)	(1,164,525)
Payments to employees	(4,433,960)	-
Claims paid	-	(15,687,576)
Net cash provided by (used in) operating activities	(1,879,960)	6,335,017
Cash flows from noncapital financial activities:		
Federal and state appropriations received	1,906,589	-
Transfers (out)	(236,510)	-
Net cash provided by noncapital financing activities	1,670,079	-
Cash flows from capital and related financing activities:		
Purchase of capital assets	(53,137)	-
Net cash (used in) capital and related financing activities	(53,137)	-
Cash flows from investing activities, interest received	41,764	-
Net increase (decrease) in cash and cash equivalents	(221,254)	6,335,017
Cash and cash equivalents, beginning of year	2,765,414	16,189,821
Cash and cash equivalents, end of year	<u>\$ 2,544,160</u>	<u>\$ 22,524,838</u>

(Continued)

West Des Moines Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2018

	Business-Type Activities Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	(2,497,553)	3,931,505
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	220,705	-
Federal food commodities used	340,268	-
Change in assets and liabilities:		
Receivables	(126,452)	-
Due from other governments	-	136,631
Inventories	(74,595)	-
Accounts payable	(593)	505,172
Compensated absences	613	-
Claims payable	-	508,384
Unearned revenue	78,841	1,253,325
Net pension liability	94,396	-
Net OPEB liability	84,410	-
Net cash provided by (used in) operating activities	\$ (1,879,960)	\$ 6,335,017
Schedule of noncash items:		
Noncapital financing activities, federal commodities	\$ 340,268	\$ -
Capital activities, contributed capital	\$ 157,342	\$ -

See Notes to Basic Financial Statements.

West Des Moines Community School District

Statement of Fiduciary Assets and Liabilities

Agency Fund

June 30, 2018

Assets

Cash, cash equivalents and investments

	Flower
\$	4,605

Liabilities and Fund Equity

Due to private individuals

\$	4,605
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See Notes to Financial Statements.

West Des Moines Community School District

Notes to Basic Financial Statements

Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

Nature of operations:

The West Des Moines Community School District (the District) was incorporated under Chapter 274 of the State Code of Iowa. The District has the power to make rules and regulations for its own government consistent with the laws of the state of Iowa and the regulations of the Iowa State Board of Education. The District is governed by the elected West Des Moines Community School Board of Education (the Board). The District is composed of one high school, one ninth grade school, two junior high schools, eight elementary schools and one alternative high school. Student enrollment (kindergarten through high school) for the 2017-2018 school year was 8,918 regular and special education students. The District employs approximately 1,200 full-time equivalent personnel.

Reporting entity:

In accordance with Governmental Accounting and Financial Reporting Standards, the basic financial statements include all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all other potential organizations for which the nature and significance of their relationships with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB Statement No. 39, sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units, or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, there are no other organizations which should be included in these basic financial statements.

Basis of presentation: The District's basic financial statements consist of government-wide statements, including a statement of net position and a statement of activities and fund financial statements which provide a more detailed level of financial information.

Government-wide and fund financial statements: The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the nonfiduciary activities of the District. For the most part, the effect of the interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services. Interfund services provided and used are not eliminated in the process of consolidation for these statements.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of net position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in the following categories:

Net investment in capital assets: Consists of capital assets, net of accumulated depreciation/amortization and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.

Restricted net position: Results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position: Consist of net position that does not meet the definition of the preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds, proprietary funds and fiduciary funds, even though the latter are excluded from the government-wide financial statements. The focus of fund financial statements is on major funds. Major individual governmental funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

General Fund: The General Fund is the general operating fund of the District. It is used to account for all financial resources except those required to be accounted for in another fund. The General Fund accounts for the instructional and most of the support service programs of the District's operations. Revenue of the fund consists primarily of local property taxes and state governmental aid.

Management Fund, a special revenue fund: Accounts for the resources from a specific tax levy for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Capital Projects Fund: Accounts for the resources used to pay for the purchase and improvement of sites, demolition work, special assessments and major building repairs, physical plant and equipment levy (PPEL) as well as the statewide sales and services tax for school infrastructure.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes.

Playground Fund: Accounts for the resources used to establish and maintain public recreation places and playgrounds and necessary accommodations for children and adults.

Student Activity Fund: Accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

Enterprise Funds: Are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition Fund: Accounts for the food service operations of the District.

Community Education Fund: Accounts for the educational programs available to the general public on a fee basis.

Internal Service Fund: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental insurance plans for District employees.

Fiduciary Fund Types: Fiduciary fund types are used to account for net position and changes in net position. The District has one fiduciary fund which is considered an Agency Fund:

Flower Fund: To account for donations to be used for flower purchases for memorials or illnesses of District employees.

Measurement Focus and Basis of Accounting: The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenue in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied. The District also reports fiduciary funds which focus on net position and changes in net position. The fiduciary funds report on the accrual basis of accounting.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Revenues – exchange and nonexchange transactions: Property taxes, other taxes, grants, entitlements and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. All other revenue items are considered to be measurable and available only when cash is received.

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available.

Nonexchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, grants, entitlements and donations. On an accrual basis, revenue from property taxes is recognized in the fiscal year for which it is budgeted. Revenue from grants, entitlements and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include timing requirements, which specify the year when the resources are required to be used or the fiscal year when use is first permitted, matching requirements, in which the District must provide local resources to be used for a specified purpose, and expenditure requirements, in which the resources are provided to the District on a reimbursement basis. On a modified accrual basis, revenue from nonexchange transactions must also be available before it can be recognized.

Property taxes are recognized as a receivable at the time they become an enforceable legal claim. This is determined to occur when the budget is certified and approved by the state of Iowa. The current tax levy recognized in revenue was certified in April 2017 based on 2016 assessed valuations. The current property tax receivable was certified in April 2018 based on 2017 assessed valuations. These taxes are due in two installments on September 30 and March 31, with a 1.5 percent per month penalty for delinquent payment.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's proprietary funds are charges for food sales or tuition and fees. Operating expenses for proprietary funds include the cost of services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost reimbursement grants and general revenues. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost reimbursement grant resources to such programs and then general revenues.

West Des Moines Community School District

Notes to Basic Financial Statements

Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Significant Accounting Policies:

The significant accounting policies followed by the District include the following:

Cash, cash equivalents and investment accounts: Separate bank accounts and investments are not maintained for all District funds, as certain funds maintain their cash and investment balances in a pooled account. Accounting records are maintained to show the portion of the pooled account attributable to each participating fund.

Inventories: Inventories are valued at cost (first-in, first-out), which approximates market. The consumption method of accounting is applied to the governmental fund type inventories. Unused commodities at balance sheet date are reported as inventory in the statement of net position.

Capital assets: General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide statement of net position but are not reported in the fund financial statements.

All capital assets are capitalized at cost (or estimated historical cost) and updated for additions and retirement during the year. Donated capital assets are recorded at the acquisition value as of the date received. The District maintains a capitalization threshold of \$5,000 (\$500 for the School Nutrition Fund). The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not. All reported assets except land and construction-in-progress are depreciated. Depreciation is computed using the straight-line method over the following useful lives:

Description	Estimated Useful Lives
Buildings and improvements	20 - 50 years
Machinery and equipment	5 - 15 years
Intangibles	15 years

The District's collection of library books and other similar assets are not capitalized due to the individual assets not meeting the District's capitalization threshold. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received, but not earned. Unearned revenue in governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Grants and entitlements received before the eligibility requirements are met are also recorded as unearned revenue. Unearned revenue consists primarily of school registration fees and meal revenues collected for the programs and services in the next school year.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Accrued payroll: Payroll and the related payroll taxes and benefits for teachers with annual contracts corresponding to the school year, but have balances payable in July and August, have been accrued as a liability as they are applicable to services provided during the respective fiscal years and will be paid with available resources.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2018. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Self-insurance: The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund. There have been no significant reductions in insurance coverage for the District from the prior year.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Fund balances: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts the Board of Education intend to use for specific purposes. The authority to assign fund balances has been delegated to the Chief Financial Officer through the Board approved budget of the District.

Unassigned: All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned.

West Des Moines Community School District

Notes to Basic Financial Statements

Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. If restricted or unrestricted funds are available for spending, the restricted funds are spent first. Additionally, if different levels of unrestricted funds are available for spending, the District considers committed funds to be expended first followed by assigned funds and then unassigned.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of fund balance or net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. Deferred outflows of resources in the proprietary funds and government-wide statement of net position consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of fund balance or net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenues remain as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. Deferred inflows of resources in the proprietary funds and government-wide statements also include the unrecognized items not yet charged to pension expense and other postemployment benefit expense.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported as fair value.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent bond proceeds of \$3,832,981.

Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted through enabling legislation consists of \$5,647,292 for physical plant and equipment levy, \$2,514,917 for debt service, \$6,721,591 for statewide sales and services tax, \$9,278,121 for management levy and \$504,165 for public education and recreation levy. All other restricted net position consists of \$3,482,187 for categorical funding and \$882,078 for student activities and are restricted by grantors and donors.

West Des Moines Community School District

Notes to Basic Financial Statements

Year Ended June 30, 2018

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Note 2. Budgetary and Budgetary Control

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules – Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. The District's actual expenditures in the instruction function exceeded the budget by \$3,053,279.

Note 3. Cash and Cash Equivalents and Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts and warrants or improvements certificates of a drainage district.

As of June 30, 2018, the District had investments in the Iowa Schools Joint Investment Trust Direct Government Obligations Portfolio which are valued at an amortized cost of \$3,179,138 pursuant to Rule 2a-7 under the Investment Company Act of 1940. The District had investments in the Goldman Sachs Financial Square Fund Governmental Fund of \$2,370,265. There were no limitations or restrictions on withdrawals from these investments.

Custodial credit risk: The District's deposits in banks as of June 30, 2018 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The District does not have a separate policy from state statutes.

Credit risk: The investment in the Iowa Schools Joint Investment Trust was rated AAAM by Standard & Poor's Rating Service. The investment in the Goldman Sachs Financial Square Fund Governmental Fund was rated AAAM by Standard & Poor's Rating Service and Aaa-mf by Moody's Rating Service. The District does not have a separate credit risk policy from state statutes.

The District does not have a separate interest rate risk or concentration of credit risk policy from state statutes.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 4. Interfund Transfers and Balances

The following is a schedule of transfers as included in the basic financial statements of the District:

	Transfers In	Transfers Out
Major funds:		
General	\$ 246,509	\$ 166,016
Capital Projects Fund	-	8,587,297
Debt Service Fund	8,587,298	-
Other nonmajor governmental funds	166,016	10,000
Other nonmajor enterprise fund	-	236,510
	<u>\$ 8,999,823</u>	<u>\$ 8,999,823</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them and (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Advances to/from other funds: The Capital Projects Fund advanced \$156,940 to the Student Activity Fund for the purchase of a scoreboard. On July 10, 2018, the Board of Education approved the repayment plan. The Student Activity Fund will repay the advance over a three-year period including 1.15% interest. The remaining balance as of June 30, 2018 is \$50,875 to be paid in June 2019.

Note 5. Capital Assets

Capital asset activity for the governmental activities for the year ended June 30, 2018 was as follows:

	Balance June 30, 2017	Additions	Retirements	Balance June 30, 2018
Governmental activities:				
Capital assets, not being depreciated:				
Land	\$ 4,095,848	\$ -	\$ -	\$ 4,095,848
Construction-in-progress	358,728	1,931,680	402,729	1,887,679
Total capital assets, not being depreciated	4,454,576	1,931,680	402,729	5,983,527
Capital assets, being depreciated:				
Buildings and improvements	295,749,081	1,640,987	-	297,390,068
Machinery and equipment	13,958,596	924,376	504,576	14,378,396
Total capital assets, being depreciated	309,707,677	2,565,363	504,576	311,768,464
Accumulated depreciation:				
Buildings and improvements	87,321,153	7,815,378	-	95,136,531
Machinery and equipment	11,870,454	900,831	501,563	12,269,722
Total accumulated depreciation	99,191,607	8,716,209	501,563	107,406,253
Total capital assets, being depreciated, net	210,516,070	(6,150,846)	3,013	204,362,211
Governmental activities capital assets, net	\$ 214,970,646	\$ (4,219,166)	\$ 405,742	\$ 210,345,738

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 5. Capital Assets (Continued)

Capital asset activity for the business-type activities for the year ended June 30, 2018 was as follows:

	Balance June 30, 2017	Additions	Retirements	Balance June 30, 2018
Business-type activities:				
Capital assets, being depreciated, machinery and equipment	\$ 3,886,034	\$ 210,479	\$ 8,035	\$ 4,088,478
Accumulated depreciation, machinery and equipment	2,415,606	220,705	8,035	2,628,276
Total capital assets, being depreciated, net	1,470,428	(10,226)	-	1,460,202
Business-type activities capital assets, net	\$ 1,470,428	\$ (10,226)	\$ -	\$ 1,460,202

Depreciation expense was charged to the functions as follows:

Governmental activities:	
Instruction	\$ 4,835,430
Support services	3,880,779
Total depreciation expense, governmental activities	\$ 8,716,209
Business-type activities, nutrition	\$ 220,705

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 6. Long-Term Debt

The following is a summary of changes in long-term debt of the District:

	Balance June 30, 2017	Additions	Reductions	Balance June 30, 2018	Balances Due Within One Year
Governmental activities:					
Capital loan notes, Series 2016	\$ 19,520,000	\$ -	\$ 4,530,000	\$ 14,990,000	\$ 4,755,000
Premium on capital loan notes, Series 2016	2,382,641	-	595,660	1,786,981	-
Revenue bonds, Series 2012	10,000,000	-	-	10,000,000	-
Discount on revenue bonds, Series 2012	(70,886)	-	(6,164)	(64,722)	-
Revenue bonds, Series 2013	8,270,000	-	525,000	7,745,000	545,000
Premium on revenue bonds, Series 2013	180,946	-	15,734	165,212	-
Revenue bonds, Series 2014	19,775,000	-	1,295,000	18,480,000	1,315,000
Premium on revenue bonds, Series 2014	1,058,712	-	88,226	970,486	-
Compensated absences	444,368	1,716,500	676,009	1,484,859	437,859
Net pension liability	51,213,851	3,111,129	-	54,324,980	-
Net OPEB liability	25,972,337	1,966,199	-	27,938,536	-
Total	\$ 122,303,013	\$ 6,793,828	\$ 7,719,465	\$ 137,821,332	\$ 7,052,859
Business-type activities,					
Compensated absences	\$ 27,103	\$ 41,560	\$ 40,947	\$ 27,716	\$ 27,716
Net pension liability	2,637,550	163,743	-	2,801,293	-
Net OPEB liability	850,277	64,369	-	914,646	-
	\$ 3,228,272	\$ 269,672	\$ 40,947	\$ 3,743,655	\$ 27,716

Compensated absences are generally liquidated by the General Fund.

Net OPEB liability and net pension liability are generally liquidated by the General Fund for governmental activities and the respective funds for business-type activities.

The District's general obligation and revenue debt is as follows:

Capital loan notes:

Series 2016: On March 8, 2016, the District issued \$23,665,000 General Obligation School Capital Loan Refunding Notes, Series 2016 with an interest rate of 5.0 percent to current refund \$7,565,000 of the General Obligation Capital Loan Notes, Series 2010 and \$19,140,000 of the General Obligation School Capital Loan Notes, Series 2011. The District current refunded the Series 2010 and Series 2011 Capital Loan Notes to reduce its debt service payments over the next five years by \$1,947,227 and to obtain an economic gain (difference between the present values of the debt service payments on the old and new debt) of \$1,898,067. Principal is payable each May 1 and interest is payable semi-annually each November 1 and May 1 until maturity on May 1, 2021. The total principal and interest remaining to be paid on the 2017 bonds is \$16,513,500. During the year ended June 30, 2018, \$4,530,000 of principal and \$976,000 of interest was paid on the bonds.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 6. Long-Term Debt (Continued)

Revenue bonds:

Series 2012: On April 5, 2012, The District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds to finance school infrastructure projects. The bonds bear interest at rates ranging from 2.10 percent to 3.00 percent and had an unpaid balance of \$10,000,000. The revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Project Fund. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the 2012 bonds is \$12,036,799. During the year ended June 30, 2018, no principal was paid on the 2012 bonds and \$255,390 of interest was paid on the bonds.

Series 2013: On December 23, 2013, the District issued \$9,760,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2013 to finance school infrastructure projects. The bonds bear interest at rates ranging from 3.00 percent to 4.00 percent and had an unpaid balance of \$7,745,000. The revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the 2013 bonds is \$9,438,168. During the year ended June 30, 2018, \$525,000 of principal and \$261,370 of interest was paid on the 2013 bonds.

Series 2014: On June 24, 2014, the District issued \$22,320,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2014 to finance school infrastructure projects. The bonds bear interest at rates ranging from 2.00 percent to 5.00 percent and had an unpaid balance of \$18,480,000. The revenue bonds will be repaid using statewide sales, services and use tax collected in the Capital Projects Fund. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District. The bonds are not general obligations of the District. The total principal and interest remaining to be paid on the 2014 bonds is \$22,627,772. During the year ended June 30, 2018, \$1,295,000 of principal and \$683,438 of interest was paid on the 2014 bonds.

The statewide sales, services and use tax revenues were \$8,353,971 for the year ended June 30, 2018.

The resolution providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2018, there was \$127,695, \$671,748, and \$1,647,008 deposited in the sinking account for the 2012, 2013 and 2014 bonds respectively.
- Monies in the revenue account shall next be disbursed to maintain a reserve account to be used solely for the purpose of paying principal and interest on the bonds if insufficient money is available in the sinking account. At June 30, 2018, there was \$979,069, \$798,495 and \$2,055,417 deposited in the reserve account for the 2012, 2013 and 2014 bonds respectively.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2018, there was \$16,956, \$28,034 and \$23,476 deposited in the revenue account for the 2012, 2013 and 2014 bonds respectively.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 6. Long-Term Debt (Continued)

Annual debt service requirements on all outstanding indebtedness as of June 30, 2018, are as follows:

Capital Loan Refunding Notes, Series 2016			
Year ending June 30:	Principal	Interest	Total
2019	4,755,000	749,500	5,504,500
2020	4,990,000	511,750	5,501,750
2021	5,245,000	262,250	5,507,250
Subtotal	14,990,000	1,523,500	16,513,500
Plus unamortized premium	1,786,981	-	1,786,981
Totals	\$ 16,776,981	\$ 1,523,500	\$ 18,300,481

Revenue Bonds, Series 2012			
Year ending June 30:	Principal	Interest	Total
2019	-	255,390	255,390
2020	-	255,390	255,390
2021	-	255,390	255,390
2022	1,000,000	244,890	1,244,890
2023	1,020,000	222,915	1,242,915
2024-2028	5,530,000	729,327	6,259,327
2029-2030	2,450,000	73,497	2,523,497
Subtotal	10,000,000	2,036,799	12,036,799
Less unamortized discount	(64,722)	-	(64,722)
Totals	\$ 9,935,278	\$ 2,036,799	\$ 11,972,077

Revenue Bonds, Series 2013			
Year ending June 30:	Principal	Interest	Total
2019	545,000	245,320	790,320
2020	560,000	228,745	788,745
2021	575,000	211,720	786,720
2022	595,000	194,170	789,170
2023	610,000	176,095	786,095
2024-2028	3,355,000	577,528	3,932,528
2029-2030	1,505,000	59,590	1,564,590
Subtotal	7,745,000	1,693,168	9,438,168
Plus unamortized premium	165,212	-	165,212
Totals	\$ 7,910,212	\$ 1,693,168	\$ 9,603,380

Revenue Bonds, Series 2014			
Year ending June 30:	Principal	Interest	Total
2019	1,315,000	650,863	1,965,863
2020	1,340,000	624,313	1,964,313
2021	1,365,000	576,788	1,941,788
2022	1,400,000	507,663	1,907,663
2023	1,440,000	436,663	1,876,663
2024-2028	7,985,000	1,233,238	9,218,238
2029-2030	3,635,000	118,244	3,753,244
Subtotal	18,480,000	4,147,772	22,627,772
Plus unamortized premium	970,486	-	970,486
Totals	\$ 19,450,486	\$ 4,147,772	\$ 23,598,258

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 6. Long-Term Debt (Continued)

As of June 30, 2018, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	7,484,048,567
Debt limit, 5% of total assessed valuation	\$ 374,202,428
Amount of debt applicable to debt limit, total indebtedness	<u>51,215,000</u>
Excess of debt limit over debt outstanding, legal debt margin	<u><u>\$ 322,987,428</u></u>

Note 7. Early Retirement

In order to hasten early retirement, the District offered an early retirement plan benefit to its employees. The Board reserves the right to amend or revoke this Early Retirement Plan or any provision of this plan at any time, with or without notice.

To be eligible to participate in this Plan, an employee must (1) have worked a minimum of 30 hours per week, or 70 percent of contract, during each of the last ten full years of service; (2) a year of service refers to a school year. Thus, in order to count as a school year, the employee must be employed by the first student contact day in order for that year to count towards a full year of service; (3) have a minimum of ten full years of continuous service in the District; (4) have obtained the age of 55 as of June 30, 2018; (5) an employee terminated for just cause, or receiving payments or benefits from or on behalf of the District that are not tied to the performance of current duties, is not eligible (6) an employee is eligible to participate in the plan only at the end of the current school year for certified employees or nine month employees or June 30th for all other employees.

Benefits to eligible employees include a lump sum payment into a tax-sheltered annuity benefit in December following retirement equal to the number of sick leave days accumulated as of retirement (125 maximum for nine- and ten-month employees or 135 maximum for 11- and 12-month employees) multiplied by \$50 per day. In addition, eligible employees will receive single District/major medical insurance capped at the 2017-2018 premiums for the District's lowest cost plan. The District's contribution to an early retiree's health insurance will end the earlier of 1) six years from the retirement date, or 2) the month prior to the early retiree's 65th birthday.

In addition, in the 2017-2018 Early Retirement Plan, the Board added the following additional benefit: For those with an effective retirement date on or before June 30, 2018, a one-time lump sum payment equaling 25% of the Early Retiree's base salary including Teacher Salary Supplement if the employee made written notice of intent to retire to the Board on or before November 28, 2016.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 7. Early Retirement (continued)

As of June 30, 2018, the District had \$1,638,815 accrued in the Management Fund. The current year cost to the District was \$1,001,204 which consisted of 128 participants in the plan. A summary of changes in liability for early retirement is shown as follows:

Balance, June 30, 2017	\$	1,293,574
Additions		1,346,445
Reductions		1,001,204
Balance, June 30, 2018	\$	<u>1,638,815</u>

Note 8. Postemployment Benefits Other Than Pensions (OPEB)

General Information about the OPEB Plan

Plan description: The District's defined benefit OPEB plan, West Des Moines Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The plan is a single-employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees": *If a governing body... has procured insurance for its employees, the governing body shall allow its employees who retired before attaining sixty-five years of age to continue participation in the group plan or under the group contract at the employee's own expense until the employee attains sixty-five years of age.*

In order to be eligible for the District premium subsidy at retirement, employees must have obtained the age of 55 with a minimum of ten full years of continuous employment in the District. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Governmental Accounting Standard Board Statement No. 75.

Benefits provided: The Plan provides pre Medicare medical and prescription drug benefits to its participants. The medical and prescription drug benefits are provided through a self funded program administered by a third-party administrator. Retirees are eligible for three self-insured PPO plans offered through Wellmark. Dental coverage is made available to eligible retirees and is fully contributory.

The full monthly premium rates as of July 1, 2018 for each plan are as shown below:

Rate Tier	Plan 1	Plan 2	Plan 3	Dental
Single	\$ 559	\$ 537	\$ 503	\$ 45
Subscriber and Spouse	1,230	1,181	1,107	83
Subscriber and Children	1,062	1,020	956	93
Family	1,677	1,610	1,510	124

Future retirees meeting eligibility requirements are reimbursed a fixed subsidy equal to the lowest single medical premium equivalent at the time of retirement. The District provides the subsidy for six years or until the retiree reaches age 65.

West Des Moines Community School District

Notes to Basic Financial Statements

Year Ended June 30, 2018

Note 8. Other Postemployment Benefits (Continued)

Employees covered by benefit terms: At June 30, 2018, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	80
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	1,446
	<u>1,526</u>

Total OPEB Liability

The District's total OPEB liability of \$28,853,182 was measured as of June 30, 2018 and was determined by an actuarial valuation as of June 30, 2018.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2018 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.0% per annum
Salary increases	3.5% per annum
Discount rate	3.87% per annum
Retirees' share of benefit-related costs	0%
Health care cost trend rate	7.00%
	The trend rate is reduced by 0.50% each year until reaching the ultimate trend rate of 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the RP-2014 generational table scaled using MP-17 and applied on a gender-specific basis. The actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience study for the period 2010– 2017.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 8. Other Postemployment Benefits (Continued)

Changes in the Total OPEB Liability

There were no changes as a result of changes in benefit terms or differences between expected and actual experience. Changes of assumptions or other inputs reflect a change in the discount rate from 3.58% per annum in 2017 to 3.87% per annum in 2018.

	Total OPEB Liability
Balance at July 1, 2017	\$ 26,822,614
Changes for the year:	
Service cost	2,770,560
Interest	1,122,790
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(701,804)
Benefit payments	(1,160,978)
Net changes	2,030,568
Balance at June 30, 2018	\$ 28,853,182

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease (2.87%)	Discount Rate (3.87%)	1% Increase (4.87%)
Total OPEB liability	\$ 31,304,000	\$ 28,853,182	\$ 26,534,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	1% Decrease (6.00% decreasing to 3.5%)	Healthcare Cost Trend Rates (7.00% decreasing to 4.5%)	1% Increase (8.00% decreasing to 5.5%)
Total OPEB liability	\$ 25,586,000	\$ 28,853,182	\$ 33,039,880

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 8. Other Postemployment Benefits (Continued)

For the year ended June 30, 2018, the District recognized OPEB expense of \$3,823,776. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Changes of assumptions or other inputs	-	632,229
Net difference between projected and actual investments	-	-
Total	\$ -	\$ 632,229

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:	
2019	\$ (69,575)
2020	(69,575)
2021	(69,575)
2022	(69,575)
2023	(69,575)
Thereafter	(284,354)
	<u>\$ (632,229)</u>

Note 9. Retirement System

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 9. Retirement System (Continued)

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2018, pursuant to the required rate, Regular members contributed 5.95 percent of covered payroll and the District contributed 8.93 percent of covered payroll for a total rate of 14.88 percent.

The District's contributions to IPERS for the year ended June 30, 2018 were \$6,032,574.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2018, the District reported a liability of \$57,126,273 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2017, the District's collective proportion was 0.857589 percent, which was an increase of .001897 from its proportion measured as of June 30, 2016.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 9. Retirement System (Continued)

For the year ended June 30, 2018, the District recognized pension expense of \$7,920,501. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 524,473	\$ 494,955
Changes of assumptions	9,925,912	-
Net difference between projected and actual earnings on pension plan investments	-	596,664
Changes in proportion and differences between District contributions and proportionate share of contributions	512,304	169,581
District contributions subsequent to the measurement date	6,032,574	-
Total	\$ 16,995,263	\$ 1,261,200

\$6,032,574 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2019. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2019	\$ 1,444,156
2020	4,482,350
2021	2,736,000
2022	357,576
2023	681,407
Thereafter	-
Total	\$ 9,701,489

There were no non-employer contributing entities to IPERS.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 9. Retirement System (Continued)

Actuarial Assumptions – The total pension liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent per annum, compounded annually, net of pension plan, investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of actuarial experience study dated March 24, 2017.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	27.0%	2.25%
Domestic equity	24.0%	6.25%
International equity	16.0%	6.71%
Private equity	11.0%	11.15%
Private real assets	7.5%	4.18%
Public real assets	7.0%	3.27%
Public credit	3.5%	3.46%
Private credit	3.0%	4.25%
Cash	1.0%	-0.31%
Total	100%	

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 9. Retirement System (Continued)

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
District's proportionate share of the net pension liability	\$ 94,121,181	\$ 57,126,273	\$ 26,043,444

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2018, the District reported payables to the defined benefit pension plan of \$522,818 for legally required employer contributions and \$348,350 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 10. Risk Management

The District is exposed to various risks of loss related to torts, theft; damage to and destruction of assets; errors and omissions; and natural disasters. These risks, except injuries to employees and claim payments for health, prescriptions and dental insurance, are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

The District has established an internal service fund to account for premium and claim payments for a self-insured group health insurance plan for the District's employees to meet potential losses from medical claims. Self-insurance is in effect up to an individual stop loss amount of \$100,000 and aggregate amount of 125 percent of expected claims. The District also self-insures for its dental plan. The dental plan includes no aggregate reinsurance.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 10. Risk Management (Continued)

Liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Claims payable include all known claims and an amount for claims that have been incurred but not reported (IBNR). Claim liabilities are estimated by considering the effects of inflation, recent claim settlement trends, including frequency and amount of pay-outs and other economic and social factors.

Changes in the balances of claims payable during the years ended June 30, 2018 and 2017 are as follows:

	Self-Insurance Fund	
	2018	2017
Claims payable, beginning of year	\$ 1,730,000	\$ 1,730,000
Incurred claims (including IBNR and changes in estimates)	16,462,989	16,159,352
Claim payments	15,684,605	15,611,819
Claims payable, end of year	<u>\$ 2,508,384</u>	<u>\$ 1,730,000</u>

Each participating fund makes payments to the self-insurance fund for amounts which are determined based on historical claims experience. Such payments are displayed on the financial statements as revenues and expenditures/expenses. There have been no significant reductions in insurance coverage from the prior year.

The District became self-insured for its workers' compensation exposures beginning in September 2005. Claims which are due and payable are recorded in the Management Fund, a governmental fund. Losses on workers' compensation claims are limited through the purchase of stop-loss insurance to \$350,000 per individual and an aggregate amount of \$1,000,000. Changes in the balances of claims liabilities for the years ended June 30, 2018 and 2017 are as follows:

	Workers Compensation	
	2018	2017
Claims payable, beginning of year	\$ 800,000	\$ 600,000
Incurred claims (including IBNR)	302,264	634,883
Claim payments	402,264	434,883
Claims payable, end of year	<u>\$ 700,000</u>	<u>\$ 800,000</u>

Note 11. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the local area education agency. The District's actual amount for this purpose totaled \$3,898,573 for the year ended June 30, 2018 and is recorded in the General Fund by making a memorandum adjusting entry to the financial statements.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 12. Contingencies

As of June 30, 2018, the District is involved in various claims against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2018 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Clive, Iowa	Urban renewal and economic development projects	\$ 288,326
City of Urbandale, Iowa	Urban renewal and economic development projects	11,657
City of West Des Moines, Iowa	Urban renewal and economic development projects	47,909
City of Windsor Heights	Urban renewal and economic development projects	9,280

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2018, this reimbursement amounted to \$183,578.

Note 14. New Governmental Accounting Standards Board (GASB) Statements

The District adopted the following statements during the year ended June 30, 2018:

GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*: This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans, for OPEB*. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans. The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 14. New Governmental Accounting Standards Board (GASB) Statements (continued)

GASB Statement No. 81, *Irrevocable Split-Interest Agreements*: The objective of this Statement is to improve accounting and financial reporting for irrevocable split-interest agreements by providing recognition and measurement guidance for situations in which a government is a beneficiary of the agreement.

GASB Statement No. 82, *Pension Issues* – an amendment of GASB Statements No. 67, No. 68, and No. 73: This Statement addresses issues regarding (1) the presentation of payroll-related measures in required supplementary information, (2) the selection of assumptions and the treatment of deviations from the guidance in an Actuarial Standard of Practice for financial reporting purposes, and (3) the classification of payments made by employers to satisfy employee (plan member) contribution requirements.

GASB Statement No. 85, *Omnibus 2017*: The objective of this Statement is to address practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits (OPEB)).

GASB Statement No. 86, *Certain Debt Extinguishment Issues*: The primary objective of this Statement is to improve consistency in accounting and financial reporting for in-substance defeasance of debt by providing guidance for transactions in which cash and other monetary assets acquired with only existing resources—resources other than the proceeds of refunding debt—are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also improves accounting and financial reporting for prepaid insurance on debt that is extinguished and notes to financial statements for debt that is defeased in substance.

The implementation of the above statements did not have a material impact to the District's financial statements except for GASB Statement No. 75 which required the District to change the accounting and reporting of OPEB benefit expense, total OPEB liability, and the related deferred inflows of resources and deferred outflows of resources. As a result, the District's financial statements required a restatement as stated in Note 15. In addition, the new standards required new note disclosures and new required supplementary information schedules.

As of June 30, 2018, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 83, *Certain Asset Retirement Obligations*, issued November 2016, will be effective for the District beginning with its fiscal year ending June 30, 2019. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement. This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for AROs.

GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The focus of the identification criteria established by the Statement is on 1) whether a government is controlling the assets of the fiduciary activity and 2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. An activity meeting the criteria should be reported as a fiduciary fund in the basic financial statements. This

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 14. New Governmental Accounting Standards Board (GASB) Statements (continued)

Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources.

GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

GASB Statement No. 88, *Certain Disclosures Related to Debt*, including Direct Borrowings and Direct Placements, issued April 2018, will be effective for the District beginning with its fiscal year ending June 30, 2019. The primary objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. This Statement defines debt for purposes of disclosure in notes to financial statements as a liability that arises from a contractual obligation to pay cash (or other assets that may be used in lieu of cash) in one or more payments to settle an amount that is fixed at the date the contractual obligation is established. This Statement requires that additional essential information related to debt be disclosed in notes to financial statements, including unused lines of credit; assets pledged as collateral for the debt; and terms specified in debt agreements related to significant events of default with finance-related consequences, significant termination events with finance-related consequences, and significant subjective acceleration clauses. For notes to financial statements related to debt, this Statement also requires that existing and additional information be provided for direct borrowings and direct placements of debt separately from other debt.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

West Des Moines Community School District

Notes to Basic Financial Statements Year Ended June 30, 2018

Note 15. Restatement

Governmental Accounting Standards Board Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, was implemented as of the beginning of the year ended June 30, 2018. The revised requirements establish new financial reporting requirements for state and local government employers that provide postemployment benefits other than pensions, including additional note disclosures and required supplementary information. Statement No. 75 establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. Beginning net position for governmental, business-type activities and proprietary funds were restated to retroactively report the beginning net OPEB liability and, if applicable, deferred outflows of resources related to contributions made after the measurement date of the beginning total OPEB liability but before the beginning of the District's fiscal year.

	Governmental Activities	Business-type Activities	Nonmajor Enterprise Funds	
			School Nutrition	Community Education
Net position June 30, 2017, as previously reported	\$ 177,562,126	\$ 3,087,854	\$ 854,780	\$ 904,944
Net OPEB obligation	9,528,381	563,619	351,637	211,982
Total OPEB liability	(25,972,337)	(850,277)	(520,359)	(329,918)
Net position June 30, 2017, as restated	<u>\$ 161,118,170</u>	<u>\$ 2,801,196</u>	<u>\$ 686,058</u>	<u>\$ 787,008</u>



WEST DES MOINES
COMMUNITY SCHOOLS

REQUIRED SUPPLEMENTARY INFORMATION

West Des Moines Community School District

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental and Enterprise Funds
Required Supplementary Information
Year Ended June 30, 2018**

	Governmental Funds - Actual	Proprietary Fund - Actual
Revenues:		
Local sources	\$ 79,489,244	\$ 5,100,569
State sources	51,215,717	23,987
Federal sources	2,405,297	2,163,379
Total revenues	133,110,258	7,287,935
Expenditures/expenses:		
Instruction	91,166,727	7,403
Support services	33,965,522	510,629
Noninstructional programs	509,347	6,880,984
Other expenditures	17,601,803	-
Total expenditures/expenses	143,243,399	7,399,016
Excess (deficiency) of revenues over (under) expenditures/expenses	(10,133,141)	(111,081)
Other financing sources (uses):		
Transfers in	8,999,823	-
Transfers (out)	(8,763,313)	(236,510)
Proceeds from sale of capital assets	97,667	-
Total other financing sources (uses)	334,177	(236,510)
Net change in fund balance	(9,798,964)	(347,591)
Balance, beginning of year, as restated	59,851,804	1,473,066
Balance, end of year	\$ 50,052,840	\$ 1,125,475

See Notes to Required Supplementary Information.

Total Actual	Budgeted Amounts		Final to Actual Variance
	Original	Final	
\$ 84,589,813	\$ 73,586,931	\$ 73,586,931	\$ 11,002,882
51,239,704	62,023,533	62,023,533	(10,783,829)
4,568,676	3,938,860	3,938,860	629,816
140,398,193	139,549,324	139,549,324	848,869
91,174,130	83,385,334	88,120,851	(3,053,279)
34,476,151	33,285,310	39,120,251	4,644,100
7,390,331	7,473,897	7,973,897	583,566
17,601,803	22,323,991	22,823,991	5,222,188
150,642,415	146,468,532	158,038,990	7,396,575
(10,244,222)	(6,919,208)	(18,489,666)	8,245,444
8,999,823	8,763,699	8,763,699	236,124
(8,999,823)	(8,765,699)	(8,765,699)	(234,124)
97,667	30,000	30,000	67,667
97,667	28,000	28,000	69,667
(10,146,555)	(6,891,208)	(18,461,666)	8,315,111
61,324,870	61,324,870	61,324,870	-
\$ 51,178,315	\$ 54,433,662	\$ 42,863,204	\$ 8,315,111

West Des Moines Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Year ending June 30, 2018 ***

	<u>2018</u>
Total OPEB liability	
Changes for the year:	
Service cost	\$ 2,770,560
Interest	1,122,790
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(701,804)
Benefit payments	<u>(1,160,978)</u>
Net changes in total OPEB liability	2,030,568
Total OPEB liability - beginning	<u>26,822,614</u>
Total OPEB liability - ending	<u><u>\$ 28,853,182</u></u>
 Covered employee payroll	 \$ 64,472,632
 Total OPEB liability as a percentage of covered employee payroll	 45%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms or differences between expected and actual experience.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate from 3.58% per annum in 2017 to 3.87% per annum in 2018. The following are the discount rates used in each period:

2018	3.87%
2017	3.58%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

* The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

West Des Moines Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Four Fiscal Years

	2018*	2017*	2016*	2015*
District's proportion of the net pension liability	0.857589%	0.855692%	0.854553%	0.872553%
District's proportionate share of the net pension liability	\$ 57,126,273	\$ 53,851,401	\$ 42,219,060	\$ 34,604,646
District's covered-employee payroll	\$ 64,049,494	\$ 61,464,091	\$ 58,586,855	\$ 57,149,369
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	89.19%	87.61%	72.06%	60.55%
Plan fiduciary net pension as a percentage of the total pension liability	82.21%	81.82%	85.19%	87.61%

*The amounts presented for each fiscal year
were determined as of the prior fiscal-year end.

Note: The schedule is intended to present information
for ten years. Information prior to 2015 is not available.

See Notes to Required Supplementary Information.

West Des Moines Community School District

Required Supplementary Information
Schedule of District Contributions (In Thousands)
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2018	2017	2016	2015
Statutorily required contribution	\$ 6,032	\$ 5,720	\$ 5,489	\$ 5,232
Contributions in relation to the statutorily required contribution	\$ (6,032)	\$ (5,720)	\$ (5,489)	\$ (5,232)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 67,554	\$ 64,049	\$ 61,464	\$ 58,587
Contributions as a percentage of covered-employee payroll	8.93%	8.93%	8.93%	8.93%

See Notes to Required Supplementary Information.

2014	2013	2012	2011	2010	2009
\$ 5,103	\$ 4,817	\$ 4,366	\$ 3,654	\$ 3,503	\$ 4,474
\$ (5,103)	\$ (4,817)	\$ (4,366)	\$ (3,654)	\$ (3,503)	\$ (4,474)
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
\$ 57,149	\$ 55,519	\$ 54,198	\$ 52,578	\$ 52,689	\$ 63,425
8.93%	8.68%	8.06%	6.95%	6.65%	7.05%



WEST DES MOINES
COMMUNITY SCHOOLS

West Des Moines Community School District

Note to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$11,570,458.

During the year ended June 30, 2018, expenditures exceeded the amounts budgeted in the instruction function.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65.

Changes of assumptions:

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20 year period.

West Des Moines Community School District

Note to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

**OTHER COMBINING AND
INDIVIDUAL FUND FINANCIAL STATEMENTS**

West Des Moines Community School District

**Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2018**

	Special Revenue		
	Playground	Student Activity	Total
Assets			
Cash, cash equivalents and investments	\$ 504,887	\$ 1,008,412	\$ 1,513,299
Receivables:			
Property taxes	636,358	-	636,358
Other	-	12,926	12,926
Total assets	\$ 1,141,245	\$ 1,021,338	\$ 2,162,583
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 2,162	\$ 88,385	\$ 90,547
Advance from other funds	-	50,875	50,875
Total liabilities	2,162	139,260	141,422
Deferred inflows of resources, unavailable revenue:			
Succeeding year property tax	634,918	-	634,918
Fund balances, Restricted	504,165	882,078	1,386,243
Total liabilities, deferred inflows of resources and fund balances	\$ 1,141,245	\$ 1,021,338	\$ 2,162,583

West Des Moines Community School District

**Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2018**

	Special Revenue		
	Playground	Student Activity	Total
Revenues:			
Property taxes and other local sources:			
Property taxes	\$ 586,395	\$ -	\$ 586,395
Utility replacement	9,516	-	9,516
Other local sources	1,647	585,268	586,915
Investment earnings	6,549	15,549	22,098
Student activities	-	1,183,825	1,183,825
State sources, other state sources	24,603	-	24,603
Total revenues	628,710	1,784,642	2,413,352
Expenditures:			
Current:			
Instruction	4,889	1,815,716	1,820,605
Support services:			
Student	9,946	-	9,946
Instructional staff	112	3,027	3,139
General administration	334	-	334
Business administration	14,252	19,034	33,286
Operation and maintenance of plant services	863	33,944	34,807
Student transportation	2,927	-	2,927
Noninstructional programs	509,347	-	509,347
Total expenditures	542,670	1,871,721	2,414,391
Excess (deficiency) of revenues over (under) expenditures	86,040	(87,079)	(1,039)
Other financing sources (uses):			
Transfer in	-	166,016	166,016
Transfers out	(10,000)	-	(10,000)
	(10,000)	166,016	156,016
Net change in fund balances	76,040	78,937	154,977
Fund balances, beginning of year	428,125	803,141	1,231,266
Fund balances, end of year	\$ 504,165	\$ 882,078	\$ 1,386,243

West Des Moines Community School District

**Schedule of Combining Balance Sheet-
Capital Projects Fund, By Account
June 30, 2018**

	Capital Projects Fund Accounts		
	Physical Plant and Equipment	Statewide Sales and Services Tax	Total
Assets			
Cash, cash equivalents and investments	\$ 5,901,475	\$ 6,926,733	\$ 12,828,208
Restricted cash, cash equivalents and investments	-	6,347,898	6,347,898
Receivables:			
Property taxes	8,383,229	-	8,383,229
Due from other governments	4,416	857,710	862,126
Advance to other funds	50,875	-	50,875
Total assets	\$ 14,339,995	\$ 14,132,341	\$ 28,472,336
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities,			
Accounts payable	\$ 327,292	\$ 1,062,851	\$ 1,390,143
Deferred inflows of resources, unavailable revenue:			
Succeeding year property tax	8,365,411	-	8,365,411
Sales and services tax	-	150,000	150,000
Total deferred inflows of resources	8,365,411	150,000	8,515,411
Fund balances:			
Restricted for:			
Physical plant and equipment	5,647,292	-	5,647,292
Debt service	-	6,347,898	6,347,898
School infrastructure	-	6,571,592	6,571,592
Total fund balances	5,647,292	12,919,490	18,566,782
Total liabilities, deferred inflows of resources and fund balances	\$ 14,339,995	\$ 14,132,341	\$ 28,472,336

West Des Moines Community School District

**Schedule of Combining Statement of Revenues, Expenditures
and Changes in Fund Balance-Capital Projects Fund, By Account
Year Ended June 30, 2018**

	Capital Projects Fund Accounts		
	Physical Plant and Equipment	Statewide Sales and Services Tax	Total
Revenues:			
Property taxes and other local sources:			
Property taxes	\$ 7,628,026	\$ -	\$ 7,628,026
Utility replacement	117,715	-	117,715
Other local sources	4,591	-	4,591
Investment earnings	109,636	431,327	540,963
State sources:			
Statewide sales and services tax	-	8,353,971	8,353,971
State sources, other state sources	320,653	-	320,653
Total revenues	8,180,621	8,785,298	16,965,919
Expenditures:			
Current:			
Instruction	109,779	4,002,508	4,112,287
Support services:			
General administration	393	155,157	155,550
Business administration	765,939	-	765,939
Plant operation and maintenance	255,376	-	255,376
Capital outlay	3,030,968	2,084,964	5,115,932
Total expenditures	4,162,455	6,242,629	10,405,084
Excess of revenues over expenditures	4,018,166	2,542,669	6,560,835
Other financing sources (uses):			
Transfers (out)	(5,506,500)	(3,080,797)	(8,587,297)
Total other financing sources (uses)	(5,506,500)	(3,080,797)	(8,587,297)
Net change in fund balance	(1,488,334)	(538,128)	(2,026,462)
Fund balances, beginning of year	7,135,626	13,457,618	20,593,244
Fund balances, end of year	\$ 5,647,292	\$ 12,919,490	\$ 18,566,782

West Des Moines Community School District

Combining Statement of Net Position

Nonmajor Enterprise Funds

June 30, 2018

	School Nutrition	Community Education	Total
Assets			
Current assets:			
Cash, cash equivalents and investments	\$ 953,916	\$ 1,590,244	\$ 2,544,160
Other receivables	77,737	190,773	268,510
Inventories	226,439	-	226,439
Total current assets	1,258,092	1,781,017	3,039,109
Noncurrent assets, capital assets:			
Machinery and equipment	4,088,478	-	4,088,478
Less accumulated depreciation	(2,628,276)	-	(2,628,276)
Total noncurrent assets	1,460,202	-	1,460,202
Total assets	2,718,294	1,781,017	4,499,311
Deferred outflows of resources, pension related deferred outflows	425,154	418,767	843,921
Liabilities			
Current liabilities:			
Accounts payable	66,107	74,888	140,995
Compensated absences	10,570	17,146	27,716
Unearned revenue	121,865	158,104	279,969
Long-term liabilities:			
Net pension liability	1,512,578	1,288,715	2,801,293
Net OPEB liability	559,752	354,894	914,646
Total liabilities	2,270,872	1,893,747	4,164,619
Deferred inflows of resources:			
Pension related deferred inflows	20,843	12,254	33,097
Net OPEB related deferred inflows	12,265	7,776	20,041
Total deferred inflows of resources	33,108	20,030	53,138
Net Position			
Net investment in capital assets	1,460,202	-	1,460,202
Unrestricted	(620,734)	286,007	(334,727)
Total net position	\$ 839,468	\$ 286,007	\$ 1,125,475

West Des Moines Community School District

Combining Statement of Revenues, Expenses and Changes in Net Position

Nonmajor Enterprise Funds

Year Ended June 30, 2018

	School Nutrition	Community Education	Total
Operating revenues:			
Food sales	\$ 2,159,035	\$ -	\$ 2,159,035
Sale of services	-	2,742,428	2,742,428
Total operating revenues	2,159,035	2,742,428	4,901,463
Operating expenses:			
Salaries	1,492,532	1,696,380	3,188,912
Employee benefits	773,950	650,517	1,424,467
Purchased services	1,556	131,968	133,524
Food consumed	1,617,260	-	1,617,260
Supplies	115,326	690,306	805,632
Depreciation	220,705	-	220,705
Other	5,664	2,852	8,516
Total operating expenses	4,226,993	3,172,023	7,399,016
Operating (loss)	(2,067,958)	(429,595)	(2,497,553)
Nonoperating revenues (expenses):			
Federal food commodities	340,268	-	340,268
Federal appropriations	1,823,111	-	1,823,111
State appropriations	23,987	-	23,987
Interest	13,170	28,594	41,764
Total nonoperating revenues and (expenses)	2,200,536	28,594	2,229,130
Income (loss) before capital contributions and transfers	132,578	(401,001)	(268,423)
Capital contributions	157,342	-	157,342
Transfers (out)	(136,510)	(100,000)	(236,510)
Changes in net position	153,410	(501,001)	(347,591)
Net position, beginning, as restated	686,058	787,008	1,473,066
Net position, end of year	\$ 839,468	\$ 286,007	\$ 1,125,475

West Des Moines Community School District

Combining Statement of Cash Flows

Nonmajor Enterprise Funds

Year Ended June 30, 2018

	School Nutrition	Community Education	Total
Cash Flows From Operating Activities:			
Receipts from customers and users	\$ 2,093,910	\$ 2,759,942	\$ 4,853,852
Payments to suppliers	(1,470,824)	(829,028)	(2,299,852)
Payments to employees	(2,116,346)	(2,317,614)	(4,433,960)
Net cash (used in) operating activities	(1,493,260)	(386,700)	(1,879,960)
Cash Flows From Noncapital Financing Activities:			
Federal and state appropriations received	1,906,589	-	1,906,589
Transfers (out)	(136,510)	(100,000)	(236,510)
Net cash provided by (used in) financing activities	1,770,079	(100,000)	1,670,079
Cash Flows From Capital and Related Financing Activities, purchases of capital assets	(53,137)	-	(53,137)
Net cash (used in) capital and related financing activities	(53,137)	-	(53,137)
Cash Flows From Investing Activities, interest received	13,170	28,594	41,764
Net change in cash and cash equivalents	236,852	(458,106)	(221,254)
Cash and Cash Equivalents:			
Beginning of year	717,064	2,048,350	2,765,414
End of year	<u>\$ 953,916</u>	<u>\$ 1,590,244</u>	<u>\$ 2,544,160</u>

(Continued)

West Des Moines Community School District

Combining Statement of Cash Flows (Continued)

Nonmajor Enterprise Funds

Year Ended June 30, 2018

	School Nutrition	Community Education	Total
Reconciliation of Operating (Loss) to Net Cash (Used in) by Operating Activities:			
Operating (loss)	\$ (2,067,958)	\$ (429,595)	\$ (2,497,553)
Adjustments to reconcile operating (loss) to net cash (used in) operating activities:			
Depreciation	220,705	-	220,705
Federal food commodities used	340,268	-	340,268
Change in assets and liabilities			
Receivables	(63,555)	(62,897)	(126,452)
Inventories	(74,595)	-	(74,595)
Accounts payable	3,309	(3,902)	(593)
Compensated absences	3,524	(2,911)	613
Unearned revenue	(1,570)	80,411	78,841
Net pension liability and related deferrals	94,954	(558)	94,396
Net OPEB liability and related deferrals	51,658	32,752	84,410
Net cash provided by (used in) operating activities	\$ (1,493,260)	\$ (386,700)	\$ (1,879,960)
Schedule of Noncash Items:			
Noncapital financing activities,			
Federal commodities	\$ 340,268	\$ -	\$ 340,268
Capital activities,			
Contributed capital	\$ 157,342	\$ -	\$ 157,342

West Des Moines Community School District

Statement of Changes in Assets and Liabilities

Agency Fund

Year Ended June 30, 2018

	Balance Beginning of Year	Additions	Deductions	Balance End of Year
Flower Fund				
Assets, cash, cash equivalents and investments	\$ 3,971	\$ 634	\$ -	\$ 4,605
Liabilities , due to private individuals	\$ 3,971	\$ 634	\$ -	\$ 4,605

West Des Moines Community School District

Statistical Section

Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	74
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	88
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	94
Demographic and Economic Information	105
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	
Operating Information	108
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

West Des Moines Community School District

Net Position by Component Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

	2009	2010	2011	2012
Governmental activities:				
Net investment in capital assets	\$ 139,058,201	\$ 133,613,854	\$ 147,846,051	\$ 158,150,471
Restricted	15,883,427	21,353,146	14,014,432	12,748,833
Unrestricted	2,173,420	8,590,265	12,371,586	22,003,113
Total governmental activities net position	\$ 157,115,048	\$ 163,557,265	\$ 174,232,069	\$ 192,902,417
Business-type activities				
Net investment in capital assets	\$ 654,241	\$ 737,376	\$ 641,315	\$ 593,670
Unrestricted	2,127,643	2,298,336	2,757,854	3,611,829
Total business-type activities net position	\$ 2,781,884	\$ 3,035,712	\$ 3,399,169	\$ 4,205,499
Primary government:				
Net investment in capital assets	\$ 139,712,442	\$ 134,351,230	\$ 148,487,366	\$ 158,744,141
Restricted	15,883,427	21,353,146	14,014,432	12,748,833
Unrestricted	4,301,063	10,888,601	15,129,440	25,614,942
Total primary government net position	\$ 159,896,932	\$ 166,592,977	\$ 177,631,238	\$ 197,107,916

2013	2014	2015	2016	2017	2018
\$ 162,317,475	\$ 162,629,002	\$ 150,519,660	\$ 152,861,497	\$ 157,687,214	\$ 160,105,762
17,384,787	18,089,610	34,014,409	34,915,134	33,095,051	29,030,351
15,504,430	19,104,764	(18,824,684)	(13,915,780)	(13,220,139)	(36,528,702)
<u>\$ 195,206,692</u>	<u>\$ 199,823,376</u>	<u>\$ 165,709,385</u>	<u>\$ 173,860,851</u>	<u>\$ 177,562,126</u>	<u>\$ 152,607,411</u>
\$ 2,130,339	\$ 1,901,196	\$ 1,740,773	\$ 1,521,188	\$ 1,470,428	\$ 1,460,202
3,419,635	3,221,434	1,259,718	1,357,309	1,617,426	1,197,855
<u>\$ 5,549,974</u>	<u>\$ 5,122,630</u>	<u>\$ 3,000,491</u>	<u>\$ 2,878,497</u>	<u>\$ 3,087,854</u>	<u>\$ 2,658,057</u>
\$ 164,447,814	\$ 164,530,198	\$ 152,260,433	\$ 154,382,685	\$ 159,157,642	\$ 161,565,964
17,384,787	18,089,610	34,014,409	34,915,134	33,095,051	29,030,351
18,924,065	22,326,198	(17,564,966)	(12,558,471)	(11,602,713)	(35,330,847)
<u>\$ 200,756,666</u>	<u>\$ 204,946,006</u>	<u>\$ 168,709,876</u>	<u>\$ 176,739,348</u>	<u>\$ 180,649,980</u>	<u>\$ 155,265,468</u>

West Des Moines Community School District

Expenses, Program Revenues and Net (Expense) Revenue

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	2009	2010	2011	2012
Expenses:				
Governmental activities:				
Instruction	\$ 64,340,540	\$ 66,474,308	\$ 66,020,971	\$ 64,031,921
Support services	28,852,848	29,193,099	28,725,290	30,460,006
Noninstructional programs	452,155	434,290	119,681	504,947
Other	3,155,688	3,456,794	3,548,218	3,310,851
Interest on long-term debt	545,910	265,043	357,099	1,322,932
Total governmental activities	97,347,141	99,823,534	98,771,259	99,630,657
Business-type activities:				
Nutrition	4,139,227	4,134,856	4,051,189	3,837,098
Community education	2,641,371	2,368,775	2,478,636	2,484,504
Preschool regular education	210,280	213,536	162,440	162,529
Student construction	80,000	56,937	53,218	24,670
Total business-type activities	7,070,878	6,774,104	6,745,483	6,508,801
Total primary government expenses	104,418,019	106,597,638	105,516,742	106,139,458
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	5,910,224	6,031,974	5,656,757	6,398,639
Support services	-	-	-	678,630
Operating grants and contributions	12,116,212	16,109,619	13,977,744	15,985,636
Capital grants and contributions	-	-	-	1,509,864
Total governmental activities	18,026,436	22,141,593	19,634,501	24,572,769
Business-type activities:				
Charges for services:				
Nutrition	2,761,252	2,763,619	2,718,971	2,638,472
Community education	2,918,819	2,618,972	2,589,715	2,777,207
Preschool regular education	-	-	-	-
Student construction	-	-	-	-
Operating grants and contributions	1,355,728	1,472,831	1,657,077	1,967,784
Capital grants and contributions	-	-	-	15,000
Total business-type activities	7,035,799	6,855,422	6,965,763	7,398,463
Total primary government revenues	25,062,235	28,997,015	26,600,264	31,971,232
Net (expense) revenues:				
Governmental activities	(79,320,705)	(77,681,941)	(79,136,758)	(75,057,888)
Business-type activities	(35,079)	81,318	220,280	889,662
Total primary government revenues	\$ (79,355,784)	\$ (77,600,623)	\$ (78,916,478)	\$ (74,168,226)

2013	2014	2015	2016	2017	2018
\$ 72,787,048	\$ 74,101,225	\$ 79,526,445	\$ 80,072,100	\$ 87,584,473	\$ 95,705,186
33,543,019	33,104,411	31,693,679	32,307,088	33,313,550	40,132,796
514,568	545,689	511,434	507,475	472,727	521,785
3,414,456	3,596,211	3,741,994	3,804,493	3,814,800	3,898,573
1,387,760	1,711,719	2,175,143	1,674,726	1,703,274	1,543,841
111,646,851	113,059,255	117,648,695	118,365,882	126,888,824	141,802,181
4,412,926	4,603,634	4,630,609	4,565,909	4,442,272	4,104,322
2,801,078	2,680,646	2,623,649	2,761,087	3,055,352	3,090,242
174,674	101,006	967	-	-	-
-	-	-	-	-	-
7,388,678	7,385,286	7,255,225	7,326,996	7,497,624	7,194,564
119,035,529	120,444,541	124,903,920	125,692,878	134,386,448	148,996,745
7,215,947	7,317,855	7,480,699	8,028,185	8,158,876	9,440,258
1,626,797	1,583,371	1,315,940	1,634,911	1,837,100	1,883,959
12,830,255	14,192,480	17,472,369	19,045,978	16,829,008	16,345,122
118,493	-	2,000,000	-	-	-
21,791,492	23,093,706	28,269,008	28,709,074	26,824,984	27,669,339
2,438,304	2,322,567	2,389,672	2,234,029	2,232,027	2,159,035
2,796,728	2,695,600	2,967,741	2,958,351	3,271,549	2,742,428
-	-	-	-	-	-
-	-	-	-	-	-
1,937,963	2,057,772	1,998,988	2,122,138	2,164,865	2,187,366
1,674,887	-	-	-	139,080	157,342
8,847,882	7,075,939	7,356,401	7,314,518	7,807,521	7,246,171
30,639,374	30,169,645	35,625,409	36,023,592	34,632,505	34,915,510
(89,855,359)	(89,965,549)	(89,379,687)	(89,656,808)	(100,063,840)	(114,132,842)
1,459,204	(309,347)	101,176	(12,478)	309,897	51,607
\$ (88,396,155)	\$ (90,274,896)	\$ (89,278,511)	\$ (89,669,286)	\$ (99,753,943)	\$ (114,081,235)

West Des Moines Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	2009	2010	2011	2012
Net (expense) revenues:				
Governmental activities	\$ (79,320,705)	\$ (77,381,941)	\$ (79,136,758)	\$ (75,057,888)
Business-type activities	(35,079)	81,318	220,280	889,662
Total primary government net expense	(79,355,784)	(77,300,623)	(78,916,478)	(74,168,226)
General revenues and other changes in net position:				
Governmental activities:				
General revenues:				
Taxes:				
Property taxes	51,501,548	53,550,085	56,142,287	56,399,367
Statewide sales and services tax	8,818,452	8,485,639	7,087,894	7,579,856
Utility replacement tax	911,443	923,850	898,786	950,942
Other local sources	2,152,257	1,800,349	1,409,137	49,880
State foundation aid, unrestricted	25,330,713	18,771,477	23,888,724	28,223,794
Other state sources, unrestricted	-	-	-	-
Investment earnings	665,647	497,572	359,734	421,064
Gain on disposal of capital assets	-	-	-	-
Miscellaneous	-	-	-	-
Transfers	136,628	95,186	25,000	103,333
Total governmental activities	89,516,688	84,124,158	89,811,562	93,728,236
Business-type activities:				
Other local sources	79,290	253,444	150,117	-
Investment earnings	23,674	14,252	18,060	20,001
Miscellaneous	-	-	-	-
Transfers	(136,628)	(95,186)	(25,000)	(103,333)
Total business-type activities	(33,664)	172,510	143,177	(83,332)
Total primary government	89,483,024	84,296,668	89,954,739	93,644,904
Change in net position:				
Governmental activities	10,195,983	6,442,217	10,674,804	18,670,348
Business-type activities	(68,743)	253,828	363,457	806,330
Total primary government	\$ 10,127,240	\$ 6,696,045	\$ 11,038,261	\$ 19,476,678

2013	2014	2015	2016	2017	2018
\$ (89,855,359) \$ (89,965,549) \$ (89,379,687) \$ (89,656,808) \$ (100,063,840) \$ (114,132,842)					
1,459,204	(309,347)	101,176	(12,478)	309,897	51,607
(88,396,155)	(90,274,896)	(89,278,511)	(89,669,286)	(99,753,943)	(114,081,235)
52,951,824	53,787,935	53,916,073	53,605,669	59,089,889	60,685,813
7,881,340	7,927,921	8,601,194	8,727,573	8,535,006	8,203,971
907,497	894,863	1,058,440	888,823	985,360	935,285
-	-	-	-	-	-
30,002,209	31,598,458	32,747,900	33,926,861	33,955,733	34,065,737
-	-	-	-	-	-
289,536	176,998	196,127	534,348	1,055,270	1,400,113
-	-	-	-	18,857	94,654
-	71,058	-	-	-	-
127,228	125,000	125,000	125,000	125,000	236,510
92,159,634	94,582,233	96,644,734	97,808,274	103,765,115	105,622,083
-	-	-	-	-	-
12,499	7,003	1,725	15,484	24,460	41,764
-	-	-	-	-	-
(127,228)	(125,000)	(125,000)	(125,000)	(125,000)	(236,510)
(114,729)	(117,997)	(123,275)	(109,516)	(100,540)	(194,746)
92,044,905	94,464,236	96,521,459	97,698,758	103,664,575	105,427,337
2,304,275	4,616,684	7,265,047	8,151,466	3,701,275	(8,510,759)
1,344,475	(427,344)	(22,099)	(121,994)	209,357	(143,139)
\$ 3,648,750 \$ 4,189,340 \$ 7,242,948 \$ 8,029,472 \$ 3,910,632 \$ (8,653,898)					

West Des Moines Community School District

Fund Balances, Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	2009	2010	2011	2012
General Fund:				
Reserved	\$ 63,571	\$ 47,441	\$ -	\$ -
Unreserved	11,550,393	10,132,152	-	-
Nonspendable	-	-	48,109	62,518
Restricted	-	-	-	1,176,520
Committed	-	-	-	-
Unassigned	-	-	13,896,876	17,459,849
Total General Fund	11,613,964	10,179,593	13,944,985	18,698,887
All other governmental funds:				
Reserved	366,705	-	-	-
Restricted	-	-	52,594,203	41,111,332
Unassigned	-	-	-	-
Unreserved, reported in:				
Special revenue funds	9,416,232	21,863,694	-	-
Capital projects funds	6,759,589	208,286	-	-
Total all other governmental funds	16,542,526	22,071,980	52,594,203	41,111,332
Total governmental funds	\$ 28,156,490	\$ 32,251,573	\$ 66,539,188	\$ 59,810,219

NOTE: The District implemented GASB Statement No. 54 in fiscal year 2011.

2013	2014	2015	2016	2017	2018
\$ -	\$ -	\$ -	\$ -	\$ -	-
-	-	-	-	-	-
56,188	59,724	57,385	55,794	71,931	69,632
1,301,007	1,132,103	2,145,210	3,805,044	4,087,212	3,482,187
1,770,000	3,346,429	4,587,716	4,988,125	5,567,381	4,881,607
14,424,333	9,252,985	9,218,538	11,844,251	17,584,460	12,388,268
17,551,528	13,791,241	16,008,849	20,693,214	27,310,984	20,821,694
-	-	-	-	-	-
15,933,068	32,472,010	35,303,565	34,543,070	32,540,820	29,231,146
(1,811,965)	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
14,121,103	32,472,010	35,303,565	34,543,070	32,540,820	29,231,146
\$ 31,672,631	\$ 46,263,251	\$ 51,312,414	\$ 55,236,284	\$ 59,851,804	\$ 50,052,840

West Des Moines Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	2009	2010	2011	2012
Local sources:				
Property taxes	\$ 51,501,548	\$ 53,550,085	\$ 56,142,287	\$ 56,399,367
Statewide sales and services tax	8,818,452	7,138,043	8,083,690	7,556,656
Utility replacement	911,443	923,850	898,786	950,942
Other local sources	2,304,699	1,935,318	1,635,937	6,530,960
Investment earnings (loss)	665,647	497,572	359,734	421,064
Student activities	5,765,422	5,894,502	5,521,807	1,447,701
Total local sources	69,967,211	69,939,370	72,642,241	73,306,690
State sources:				
State foundation aid	28,485,951	22,225,013	27,433,861	31,532,435
Statewide sales and services tax	-	-	-	-
Other state sources	5,956,369	5,778,341	6,765,116	7,173,902
Total state sources	34,442,320	28,003,354	34,198,977	38,706,337
Federal sources	3,004,605	6,877,742	3,667,491	5,624,164
Total revenues	\$ 107,414,136	\$ 104,820,466	\$ 110,508,709	\$ 117,637,191

	2013		2014		2015		2016		2017		2018
\$	52,951,824	\$	53,787,935	\$	53,916,073	\$	53,605,669	\$	56,625,455	\$	58,250,769
	7,858,340		-		-		-		-		-
	907,497		894,863		1,058,440		888,823		985,360		935,285
	7,215,717		6,885,922		8,748,543		7,421,566		7,904,615		9,161,188
	289,536		176,998		196,127		534,348		1,055,270		1,400,113
	1,911,051		1,680,020		1,579,994		1,429,051		1,370,020		1,387,918
	71,133,965		63,425,738		65,499,177		63,879,457		67,940,720		71,135,273
	30,002,209		31,598,458		32,747,900		33,926,861		33,955,733		34,065,737
	-		7,925,921		8,601,194		8,727,573		8,635,006		8,353,971
	10,272,979		11,737,750		15,296,027		17,068,526		16,897,460		17,149,980
	40,275,188		51,262,129		56,645,121		59,722,960		59,488,199		59,569,688
	2,888,935		2,793,147		2,644,444		2,789,931		3,117,323		2,405,297
\$	114,298,088	\$	117,481,014	\$	124,788,742	\$	126,392,348	\$	130,546,242	\$	133,110,258

West Des Moines Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years*

(modified accrual basis of accounting)

(Unaudited)

	2009	2010	2011	2012
Instruction	\$ 59,824,159	\$ 61,925,969	\$ 60,505,485	\$ 63,208,763
Support services:				
Student support services	2,914,955	2,894,430	3,084,473	3,288,569
Instructional staff support services	3,819,415	4,081,780	4,347,578	4,310,078
General administration	1,656,342	1,748,749	1,907,523	4,086,991
School/building administration	4,321,535	4,391,135	4,471,741	4,553,847
Business administration	3,033,593	3,599,677	2,987,958	3,097,271
Plant operation and maintenance	8,591,118	7,862,209	8,079,892	8,105,239
Student transportation	3,641,335	3,468,246	3,697,114	3,985,699
Noninstructional programs	455,637	470,486	479,502	506,046
Other	3,155,688	3,456,794	3,548,218	3,310,851
Capital outlay	12,018,829	15,124,523	19,305,367	30,064,119
Debt service:				
Principal	6,275,000	6,530,000	1,150,000	4,735,000
Interest	571,713	291,600	294,211	1,194,187
Bond issuance costs	-	-	-	-
Total expenditures	\$ 110,279,319	\$ 115,845,598	\$ 113,859,062	\$ 134,446,660
Debt service as a percentage of noncapital expenditures	7.00%	6.80%	1.50%	5.68%

* Support service expenditures were not broken down into further functional detail for three years. Therefore, only total support services are shown.

West Des Moines Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	2009	2010	2011	2012
Excess (deficiency) of revenues over (under) expenditures	\$ (2,865,183)	\$ (11,025,132)	\$ (3,350,353)	\$ (16,809,469)
Other financing sources (uses):				
Proceeds from the sale of capital assets	15,746	25,029	9,978	81,955
Transfers in	9,703,929	10,874,263	12,644,611	28,109,224
Transfers out	(9,567,301)	(10,779,077)	(12,619,611)	(28,005,891)
Capital loan notes issued	-	15,000,000	36,825,000	-
Premiums on bonds	-	-	777,990	-
Discounts on bonds	-	-	-	(104,788)
Revenue bonds issued	-	-	-	10,000,000
General obligation bonds issued	-	-	-	-
Payments to escrow agent to refund bond:	-	-	-	-
Total other financing sources (uses)	152,374	15,120,215	37,637,968	10,080,500
Net change in fund balances	\$ (2,712,809)	\$ 4,095,083	\$ 34,287,615	\$ (6,728,969)

2013	2014	2015	2016	2017	2018
\$ (28,314,729)	\$ (19,245,297)	\$ 4,234,122	\$ (23,588,764)	\$ 4,458,347	\$ (10,133,141)
49,913	71,510	690,041	570,599	32,173	97,667
6,310,959	6,353,818	7,562,062	35,851,496	8,780,198	8,999,823
(6,183,731)	(6,228,818)	(7,437,062)	(35,726,496)	(8,655,198)	(8,763,313)
-	-	-	23,665,000	-	-
-	1,559,407	-	3,152,035	-	-
-	-	-	-	-	-
-	32,080,000	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
177,141	33,835,917	815,041	27,512,634	157,173	334,177
\$ (28,137,588)	\$ 14,590,620	\$ 5,049,163	\$ 3,923,870	\$ 4,615,520	\$ (9,798,964)



WEST DES MOINES
COMMUNITY SCHOOLS

West Des Moines Community School District

Assessed Value and Actual Value of Taxable Property Last Ten Fiscal Years (Unaudited)

Fiscal Year	Real Property	Personal Property	Assessed Value		Total Assessed Value	Total Taxable Value	Total Direct Rate (a)
			Railroad and Utilities Without Gas & Electric	Gas and Electric			
2009	\$ 5,917,712,535	\$ -	\$ 16,985,989	\$ 67,996,345	\$ 6,002,694,869	\$ 3,727,115,928	13.69179
2010	6,054,875,121	-	17,067,588	68,453,109	6,140,395,818	3,896,794,378	13.64410
2011	6,245,066,680	-	22,221,322	64,984,529	6,332,272,531	4,073,324,916	13.94266
2012	6,017,878,720	-	23,181,069	69,061,377	6,110,121,166	3,979,089,714	13.89454
2013	6,180,263,119	-	23,181,069	68,129,330	6,271,573,518	3,974,375,658	13.30184
2014	6,242,182,454	-	23,446,169	104,646,454	6,370,275,077	4,355,728,442	13.26452
2015	6,186,249,251	-	24,716,450	84,952,906	6,295,918,607	4,275,650,297	13.26572
2016	6,196,178,981	-	18,366,254	100,256,276	6,314,801,511	4,231,799,008	13.24189
2017	6,633,975,274	-	14,750,212	121,561,635	6,770,287,121	4,529,501,971	13.26872
2018	6,715,431,412	-	18,640,806	123,199,768	6,857,271,986	4,639,538,873	13.26871

Note: The assessed values are determined as of January 1, of the prior fiscal year indicated. These assessed values are used to calculate the taxable values for the second budget following assessment date. For taxable values for the second budget following assessment date. For example the total assessed value of \$5,558,206,021 from January 1, 2007 is used for the taxable values for fiscal year 2009.

Gas and electric is not subject to property tax, but instead pay utility replacement taxes.

Source: Polk County Auditor and/or Iowa Department of Management

West Des Moines Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year	District Direct Rates				Overlapping Rates			
	General Purposes	Capital Purposes	Debt Service	Total	County	City of Clive	City of Urbandale	City of West Des Moines
2009	11.58672	1.80500	0.30007	13.69179	10.69268	9.53762	9.22000	12.05000
2010	11.61960	1.80500	0.21950	13.64410	10.54212	9.53764	9.22000	12.05000
2011	12.13766	1.80500	-	13.94266	10.61771	9.53866	9.32000	12.05000
2012	12.04454	1.80500	-	13.84954	10.60847	9.54485	9.52000	12.05000
2013	11.46603	1.83581	-	13.30184	10.65855	9.98810	9.62000	12.05000
2014	11.44810	1.81642	-	13.26452	11.49540	9.98809	9.57000	12.05000
2015	11.55881	1.70691	-	13.26572	11.72039	9.98952	9.72000	12.05000
2016	11.43689	1.80500	-	13.24189	11.86039	9.98951	9.82000	12.00000
2017	11.46372	1.80500	-	13.26872	11.86039	10.14499	9.92000	12.00000
2018	11.46371	1.80500	-	13.26871	11.86039	10.14499	10.02000	12.00000

Source: Polk County Auditor's Office.

Note:

* Includes levies for operating and debt service costs.

The District has certain restrictions on raising the property tax rate.

General Fund - the District's enrollment as well as District property value and state aid is formula calculated to determine the maximum amount of allowable funding.

Special Revenue Funds - The Special Revenue Fund, PPEL has a restriction from voters of \$1.00 and board imposed levy up to \$0.33.

Overlapping Rates					
City of Windsor Heights	Area XI Community College	Special Rates for City of:			
		Clive	Urbandale	West Des Moines	Windsor Heights
14.79484	0.56386	-	0.33994	0.16550	0.16550
13.76398	0.56778	-	0.33537	0.24131	0.24131
13.31499	0.56008	-	0.08005	0.28411	0.28411
13.31486	0.59018	-	0.08531	0.38435	0.38435
13.31499	0.58466	-	0.06011	0.47069	0.47069
13.89892	0.69120	-	0.06911	0.47163	0.47163
15.34886	0.65724	-	0.05699	0.49915	0.49915
15.07588	0.67574	-	0.05484	0.34610	0.34610
15.66110	0.72334	-	0.06151	0.30810	0.30810
16.96522	0.67458	-	0.06856	0.38597	0.38597

West Des Moines Community School District

Principal Property Taxpayers Current Year and Ten Years Ago (Unaudited)

Taxpayer	2018			2009		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Microsoft Corporation	\$ 95,453,280	1	2.06%			
Valley West Mall LLC	60,885,000	2	1.31%	67,710,000	1	1.82%
Regency West Office Partners LLC	38,788,200	3	0.84%			
IFBF Property Management Inc	36,999,630	4	0.80%	45,599,700	4	1.22%
MRES West Glen Holdings LP	34,514,527	5	0.74%			
Water Tower Place Shopping Center LC	28,089,270	6	0.61%	28,776,100	8	0.77%
1776 Westlakes Parkway LC	26,469,138	7	0.57%	32,700,000	7	0.88%
Three Fountains II LLC	23,938,200	8	0.52%			
True Parkway LLC	19,577,250	9	0.42%			
Colby West Univ Trust	18,624,600	10	0.40%	26,198,000	10	0.70%
Mid-America Investment Company				59,850,920	2	1.61%
Deerfield Retirement Community, Inc.				44,800,800	5	1.20%
West Glen I LLC				47,521,100	3	1.28%
LADCO Properties				37,469,950	6	1.01%
Hy-Vee Food Store, Inc.				27,761,300	9	0.74%
Total	<u>\$ 383,339,095</u>		<u>8.26%</u>	<u>\$ 418,387,870</u>		<u>11.23%</u>
Total taxable value	4,639,538,873			3,727,115,928		

Source: Polk County Auditor.

West Des Moines Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year		Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date*	
			Amount*	Percentage of Levy		Amount	Percentage of Levy
2009	\$	52,585,141	\$ 52,443,349	99.73%	\$ 85	\$ 52,443,434	99.73%
2010		54,596,491	53,550,085	98.08%	4,796	53,554,881	98.09%
2011		56,344,110	56,142,286	99.64%	3,276	56,145,562	99.65%
2012		57,734,021	57,379,916	99.39%	8,603	57,388,518	99.40%
2013		53,294,789	52,935,461	99.33%	323,440	53,258,901	99.93%
2014		55,235,446	54,696,827	99.02%	506,156	55,202,983	99.94%
2015		55,114,810	54,985,578	99.77%	-	54,985,578	99.77%
2016		54,473,339	54,477,366	100.01%	-	54,477,366	100.01%
2017		57,668,175	57,620,284	99.92%	-	57,620,284	99.92%
2018		59,187,437	59,187,437	100.00%	327,741	59,515,178	100.55%

Source: Polk County Auditor and School District financial records.

Note: Information regarding subsequent years collections of prior tax levies is not available.

West Des Moines Community School District

Actual Historic Sales, Services and Use Tax Collections

Last Ten Fiscal Years

(Unaudited)

Presented below is a table illustrating the actual sales, services and use tax collections of the District for the period indicated, on an accrual basis.

Fiscal year	Dallas Co. Revenue	Polk Co. Revenue	Total Revenue
2018	\$ -	\$ 8,353,971	\$ 8,353,971
2017	726,509	7,908,496	8,635,005
2016	3,360	8,724,213	8,727,573
2015	65,427	8,535,767	8,601,194
2014	72,307	7,853,614	7,925,921
2013	83,950	7,774,390	7,858,340
2012	79,765	7,476,891	7,556,656
2011	75,600	8,008,090	8,083,690
2010	53,267	7,084,776	7,138,043
2009	78,285	8,009,537	8,087,822

Source: District records.

West Des Moines Community School District

Outstanding Debt by Type Last Ten Fiscal Years (Unaudited)

Fiscal Year	General Obligation Bonds	Sales Tax Revenue Bonds	Capital Loan Notes	Total	G.O. Bonds as a Percent of Actual Taxable Value of Property	G.O. Bonds Per Capita Personal Income	G.O. Bonds as a Percent of Personal Income
2009	1,190,000	5,340,000	-	6,530,000	0.03	*	*
2010	-	-	15,000,000	15,000,000	*	*	*
2011	-	-	50,675,000	50,675,000	*	*	*
2012	-	10,000,000	45,940,000	55,940,000	*	*	*
2013	-	10,000,000	41,275,000	51,275,000	*	*	*
2014	-	43,542,162	37,064,593	80,606,755	*	*	*
2015	-	42,959,365	32,131,794	75,091,159	*	*	*
2016	-	41,101,568	26,643,301	67,744,869	*	*	*
2017	-	39,213,772	21,902,641	61,116,413	*	*	*
2018	-	37,295,976	16,776,981	54,072,957	*	*	*

Source: District records.

* Information not available

N/A = not available.



WEST DES MOINES
COMMUNITY SCHOOLS

West Des Moines Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2018

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Polk County	\$ 140,321,964	22.24%	\$ 31,207,605
City of West Des Moines	184,720,000	99.94%	184,609,168
City of Des Moines	393,570,000	0.20%	787,140
City of Clive	19,260,000	100.00%	19,260,000
City of Urbandale	73,430,000	19.61%	14,399,623
City of Windsor Heights	4,877,906	50.05%	2,441,392
Subtotal, overlapping debt	\$ 816,179,870		252,704,928
District direct debt, capital loan notes	<u>16,776,981</u>	100.00%	<u>16,776,981</u>
Total direct and overlapping debt	<u>\$ 832,956,851</u>		<u>\$ 269,481,909</u>

Source: Polk County Auditor.

Source: Treasurer of State of Iowa.

* Compares the taxable valuation of the West Des Moines Community School District to the taxable valuation of each taxing district located within the District. Includes TIF incremental values. Does not include ag land.

West Des Moines Community School District

Legal Debt Margin Information Last Ten Fiscal Years (Unaudited)

	2009	2010	2011	2012
Debt limit	\$ 327,397,075	\$ 329,837,128	\$ 330,961,855	\$ 319,508,048
Total net debt applicable to limit	6,530,000	15,000,000	50,675,000	55,940,000
Legal debt margin	\$ 320,867,075	\$ 314,837,128	\$ 280,286,855	\$ 263,568,048
Total net debt applicable to the limit as a percentage of debt limit	1.99%	4.55%	15.31%	17.51%

Source: Polk County Auditor and District records.

Legal Debt Margin Calculation for Fiscal Year 2018

Assessed value

\$ 7,484,048,567

Debt limit (5% of assessed value)

\$ 374,202,428

Debt applicable to limit

51,215,000

Legal debt margin

\$ 322,987,428

2013	2014	2015	2016	2017	2018
\$ 313,578,676	\$ 314,795,930	\$ 315,740,076	\$ 338,308,136	\$ 343,061,671	\$ 374,202,428
51,275,000	78,600,000	73,260,000	63,500,000	57,565,000	51,215,000
\$ 262,303,676	\$ 236,195,930	\$ 242,480,076	\$ 274,808,136	\$ 285,496,671	\$ 322,987,428
16.35%	24.97%	23.20%	18.77%	16.78%	13.69%

West Des Moines Community School District

Pledged Revenue Coverage

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Local Option Sales Tax Revenue Bonds					Coverage
	Revenue	Debt Service			Total	
		Principal	Interest			
2009	\$ 8,818,452	\$ 5,120,000	\$ 483,775	\$ 5,603,775	1.57	
2010	12,296,701	5,340,000	246,975	5,586,975	2.20	
2011	8,083,690	1,150,000	294,211	1,444,211	5.60	
2012	7,579,856	4,735,000	1,194,187	5,929,187	78.22	
2013	7,858,340	4,665,000	1,409,645	6,074,645	77.30	
2014	7,925,921	4,755,000	1,385,818	6,140,818	77.48	
2015	8,601,194	5,340,000	2,006,062	7,346,062	85.41	
2016	8,727,573	1,760,000	1,314,073	3,074,073	35.22	
2017	8,635,006	1,790,000	1,005,358	2,795,358	32.37	
2018	8,353,971	1,820,000	1,200,198	3,020,198	36.15	

Source: District records.

West Des Moines Community School District

**Current Statewide Receipts of the SAVE Tax - Average Per Pupil
Last Six Fiscal Years
(Unaudited)**

Fiscal Year	Statewide Disbursements (1)	Statewide Enrollment (Prior October Count)	Statewide Average Revenue Per Student (2)
2018	471,365,664	485,147	\$ 971.59
2017	454,315,075	483,451	\$ 939.73
2016	453,349,009	480,772	\$ 942.96
2015	441,852,491	478,921	\$ 922.60
2014	430,107,790	476,245	\$ 903.12
2013	410,948,081	473,504	\$ 867.89
2012	410,776,902	473,493	\$ 867.55
2011	384,322,447	474,227	\$ 810.42
2010	369,325,651	477,019	\$ 774.24
2009	361,434,007	480,609	\$ 752.03

(1) Fiscal year 2008 through 2015 Statewide disbursements are final receipts.

(2) Statewide Average Revenue Per Student is based on the State's projected statewide receipts for each year.

Source: Department of Revenue, State of Iowa and District records.

West Des Moines Community School District

Estimated Receipts of the Tax Available for Distribution (Unaudited)

Table I: Assuming no growth in statewide revenues and no enrollment changes

Fiscal Year June 30:	Total Revenues (1)	Total Enrollment	Average Per Student
2016	440,128,399	478,921	919
2017	440,128,399	478,921	919
2018	440,128,399	478,921	919
2019	440,128,399	478,921	919
2020	440,128,399	478,921	919
2021	440,128,399	478,921	919
2022	440,128,399	478,921	919
2023	440,128,399	478,921	919
2024	440,128,399	478,921	919
2025	440,128,399	478,921	919
2026	440,128,399	478,921	919
2027	440,128,399	478,921	919
2028	440,128,399	478,921	919
2029	440,128,399	478,921	919
2030	220,064,200	478,921	460

Table II: Assuming growth in statewide revenues at historical rates and enrollment changes at historic rates

Fiscal Year June 30:	Total Revenues (1)(2)	Total Enrollment	Average Per Student
2015	\$ 440,128,399	478,921	919
2016	448,930,967	480,720	934
2017	457,909,586	481,756	951
2018	467,067,778	482,293	968
2019	476,409,134	483,109	986
2020	476,409,134	483,641	985
2021	476,409,134	483,641	985
2022	476,409,134	483,641	985
2023	476,409,134	483,641	985
2024	476,409,134	483,641	985
2025	476,409,134	483,641	985
2026	476,409,134	483,641	985
2027	476,409,134	483,641	985
2028	476,409,134	483,641	985
2029	476,409,134	483,641	985
2030	238,204,567	483,641	493

(1) The tax expires December 31, 2029 for Dallas County and schools will receive revenues for only one-half of fiscal year 2030.

(2) The assumption for growth in retail sales is based on the 10 year growth of Taxable Sales of approximately 2.00%.

Fiscal Years 2015 through 2019 are projected by the Iowa Department of Education. Fiscal Year 2020-2030 assumes no growth.

Source: District records.

West Des Moines Community School District

Estimated Future Tax Revenues (Unaudited)

Presented below is a table illustrating the estimated collections of the tax for the periods indicated, using the assumptions below:

Fiscal Year June 30:	Without Growth Estimated Collection (1)(3)	With Growth Estimated Collection (2)(3)
2016	7,910,206	8,456,436
2017	7,910,206	8,610,354
2018	7,910,206	8,764,272
2019	7,910,206	8,927,244
2020	7,910,206	8,918,190
2021	7,910,206	8,918,190
2022	7,910,206	8,918,190
2023	7,910,206	8,918,190
2024	8,227,611	8,918,190
2025	8,227,611	8,918,190
2026	8,227,611	8,918,190
2027	8,227,611	8,918,190
2028	8,227,611	8,918,190
2029	8,227,611	8,918,190
2030	4,113,805	4,463,622

(1) FY2015 Tax Revenue is based on Iowa Department of Revenue estimates and includes a projection for the November 2014 reconciliation payment in the amount of \$400,551 which represents the remaining 5% of the collections estimated by the Iowa Department of Revenue.

(2) The District projects future enrollment to remain stable at 9,054. Estimated growth in District's Tax Revenue is reflective of the projected increase in the Statewide Average Revenue Per Student as previously stated.

(3) The Tax expires December 31, 2029 for Dallas County and schools will receive revenue for only one-half of the FY2030.

Source: District records.

West Des Moines Community School District

Projected Debt Service Coverage (Unaudited)

Fiscal Year June 30:	Combined P&I Payments (1)	Tax Revenue (2)	Estimated Coverage
2016	3,083,998	7,910,206	2.56 x
2017	3,047,498	7,910,206	2.60 x
2018	3,032,898	7,910,206	2.61 x
2019	3,030,248	7,910,206	2.61 x
2020	3,026,648	7,910,206	2.61 x
2021	3,996,148	7,910,206	1.98 x
2022	3,962,298	7,910,206	2.00 x
2023	3,944,048	7,910,206	2.01 x
2024	3,926,613	7,910,206	2.01 x
2025	3,919,063	7,910,206	2.02 x
2026	3,931,963	7,910,206	2.01 x
2027	3,954,838	7,910,206	2.00 x
2028	3,971,188	7,910,206	1.99 x
2029	3,993,238	7,910,206	1.98 x

(1) For parity test calculation requirements of a fiscal year, per resolution, shall exclude any payment of principal or interest falling due on the first day of the fiscal year and include any payment of principal or interest falling due on the first day of the succeeding fiscal year.

(2) FY2015 tax revenue is based on Iowa Department of Revenue estimates and includes a projection for the November 2014 reconciliation payment in the amount of \$400,551 which represents the remaining 5% of the collections estimated by the Iowa Department of Revenue.

Source: District records.

West Des Moines Community School District

Retail Sales Within District

Last Nine Fiscal Years

(Unaudited)

Fiscal Year		City of Clive		City of Des Moines		City of Urbandale		City of Windsor Heights		City of * West Des Moines
2010	\$	389,696,001	\$	3,107,944,517	\$	591,433,940	\$	31,458,649	\$	1,483,724,771
2011		408,432,413		3,195,128,388		605,922,097		33,944,113		1,541,230,798
2012		390,334,556		3,264,362,488		619,399,037		40,905,928		1,700,406,372
2013		401,957,952		3,325,445,763		630,794,708		56,851,765		1,636,714,660
2014		414,574,277		3,439,860,062		672,013,925		44,516,033		1,647,831,070
2015		440,106,813		3,661,238,466		732,119,796		36,494,864		1,723,946,833
2016		469,996,335		3,789,289,855		752,452,126		39,242,425		1,768,926,175
2017		502,265,386		3,851,675,382		790,710,349		40,007,863		1,796,720,183
2018		490,636,671		3,980,273,823		815,971,715		56,240,091		1,750,840,994

Source: Iowa Department of Revenue website

* Includes Dallas County and Polk County

West Des Moines Community School District

Debt Ratios and Valuation Per Capita

Year Ended June 30, 2018

(Unaudited)

		(1)	(2)	(3)
	General	Debt/Actual	Debt/Taxable	
	Obligation	Market Value	Value	Debt Per Capita
Debt Ratios:	Debt	\$ (6,857,271,986)	\$ (4,639,538,873)	(64,104)
District's Total General				
Obligation Debt	\$ 16,776,981	0.24%	0.36%	\$ 261.72
District's Proportionate Share of				
Overlapping Debt	252,704,928	3.69%	5.45%	\$ 3,942.11
District's Net Overall Debt	\$ 269,481,909	3.93%	5.81%	\$ 4,203.83

(1) Based on the District's 1/1/15 Actual Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(2) Based on the District's 1/1/15 Taxable Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(3) Population based on the 2010 Census Demographic Summary, U.S. Census Bureau.

	Valuation	Valuation Per Capita
Valuation Per Capita:	1/1/2017	(64,104)
100% Actual Valuation	\$ 6,857,271,986	\$ 106,971
Taxable Valuation	\$ 4,639,538,873	\$ 72,375

(1) Based on the District's 1/1/15 Actual Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(2) Based on the District's 1/1/15 Taxable Valuation including Ag Land & Buildings, Taxable TIF Increment and all Utilities.

(3) Population based on the 2010 Census Demographic Summary, U.S. Census Bureau.

West Des Moines Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population *	Personal Income (Thousands of Dollars)	Margin of Error (+/-)	Per Capita Personal Income (1)	Margin of Error (+/-)	Unemployment Rate (2)
2009	58,275	2,857,592	299,645	41,567	4,095	4.40%
2010	58,275	2,121,073	169,040	34,193	2,454	4.20%
2011	64,104	2,755,794	345,111	38,490	4,180	4.10%
2012	64,104	2,419,733	209,880	37,134	2,868	3.60%
2013	64,104	3,072,263	380,488	44,854	5,566	3.40%
2014	64,104	2,917,044	304,681	42,707	4,723	3.10%
2015	64,104	2,903,856	279,342	43,304	4,294	2.60%
2016	64,104	2,838,957	297,020	44,512	4,720	2.50%
2017	64,104	2,803,092	260,212	43,843	3,738	2.40%
2018	64,104	N/A	N/A	N/A	N/A	N/A

* Population figures related to 2010 Census Demographic Summary, U.S. Census Bureau

(1) Source: Office of Social and Economic Trend Analysis www.seta.iastate.edu

(2) Source: Iowa Workforce

N/A - Information not available

Notes: N/A = not available.

* Based on a ten-month period, January through October.

West Des Moines Community School District

Principal Employers Current Year and Ten Years Ago (Unaudited)

Employer	2018			2009		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Wells Fargo & Company	9,569	1	15%			
West Des Moines School District	1,213	2	2%	1,223	2	2%
Hy-Vee Inc.	1,205	3	2%	767	5	1%
FBL Financial Group Inc.	1,200	4	2%	1,085	4	2%
Athene USA Corporation	1,080	5	2%			
The Iowa Clinic	810	6	1%			
Sammons Financial Group	616	7	1%			
American Equity Investment Life Holding Company	560	8	1%			
ITA Group Inc.	475	9	1%			
Businesssolver, Inc.	454	10	1%			
Wells Fargo Home Mortgage				3,336	1	6%
Wells Fargo Card Services				1,205	3	2%
Iowa Foundation for Medical Care				671	6	1%
ADP National Service Center				525	7	1%
GuideOne Insurance				508	8	1%
MetLife				500	9	1%
Sears Holding Management Corporation				420	10	1%
All other employers	45,895		73%	41,918		80%
Total	63,077		100%	52,158		100.0%

Sources:

West Des Moines Chamber of Commerce
Iowa Workforce Development

West Des Moines Community School District

Population of Cities and Counties Within District Last Three U.S. Census Data Years (Unaudited)

Calendar Year	Polk County	City of Clive	City of Des Moines	City of Urbandale	City of Windsor Heights	City of West Des Moines
1990	327,140	7,462	193,187	23,500	5,190	31,702
2000	374,601	12,855	198,682	29,072	4,805	46,403
2010	430,640	15,447	203,433	39,463	4,860	56,609

Note 1: No information is reported for Dallas County as the District is served by 1% and it is made up of rural area.

Note 2: Populations for school districts are not calculated by the U.S. Census Bureau. The population of the city and county within which the District is located best illustrates school district population trends.

Source: U.S. Census Bureau

West Des Moines Community School District

Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

	2009	2010	2011
Administration:			
Superintendent	1.0	1.0	1.0
Principals	14.0	14.0	14.0
Assistant principals	10.5	10.5	10.0
Other	13.5	13.5	13.0
Other professionals	18.6	17.8	15.0
Total supervisory	57.6	56.8	53.0
Instruction:			
Teacher	600.0	595.3	584.9
Counselor	19.0	19.0	19.6
Title I	5.5	5.0	4.5
Librarian	9.5	9.5	8.5
Total instruction	634.0	628.8	617.5
Student services:			
Nurse	3.0	3.0	2.0
Other professionals	3.9	4.4	4.9
Total student services	6.9	7.4	6.9
Support and administration:			
Clerical/secretarial	63.9	63.3	63.3
Teacher assistant	220.4	202.1	180.3
Other support personnel	222.3	215.6	210.3
Crafts/trades	18.0	16.0	15.0
Total support and administration	524.6	497.0	468.9
Total	1,223.1	1,190.0	1,146.3

Source: District records

Full-Time Equivalent Employees as of June 30							Percentage
2012	2013	2014	2015	2016	2017	2018	2009 - 2018
1.0	1.0	1.0	1.0	1.0	1.0	1.0	0.0%
14.0	13.0	14.0	13.0	13.0	13.0	13.0	-7.1%
11.0	9.0	8.0	8.0	8.0	7.0	7.0	-33.3%
13.0	13.0	14.0	14.0	14.0	15.0	18.0	33.3%
15.0	13.0	13.0	12.4	10.0	9.0	12.0	-35.5%
54.0	49.0	50.0	48.4	46.0	45.0	51.0	-11.5%
586.0	586.4	588.3	603.7	605.2	611.0	627.4	4.6%
19.6	19.6	18.6	19.0	19.0	21.0	21.0	10.5%
5.0	4.5	4.0	5.0	7.2	7.4	7.0	27.3%
8.0	8.5	8.5	6.9	6.7	6.7	6.5	-31.6%
618.6	619.0	619.4	634.6	638.1	646.1	661.9	4.4%
2.0	2.0	2.0	2.0	2.0	2.0	2.0	-33.3%
4.1	3.1	3.1	2.4	2.4	2.4	2.0	-48.7%
6.1	5.1	5.1	4.4	4.4	4.4	4.0	-42.0%
62.9	63.2	66.4	58.9	59.6	63.8	59.2	-7.4%
192.2	194.8	205.4	206.5	217.1	238.7	237.2	7.6%
210.1	207.6	216.1	207.7	214.3	209.3	213.1	-4.1%
15.0	16.0	20.0	17.0	14.0	16.0	14.0	-22.2%
480.2	481.6	507.9	490.1	505.0	527.8	523.5	-0.2%
1,159.0	1,154.7	1,182.4	1,177.5	1,193.5	1,223.3	1,240.4	1.4%



WEST DES MOINES
COMMUNITY SCHOOLS

West Des Moines Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Dallas County	Polk County	Certified Enrollment	General Fund Operating Expenditures	Cost Per Pupil	Percentage Change	Teaching Staff	Percentage of Students Receiving Free or Reduced-Price Meals
2009	85	8,757	8,842	84,710,364	9,580	7.94	634.0	20.90
2010	84	8,774	8,858	86,020,903	9,711	1.37	628.8	23.70
2011	104	8,890	8,994	87,922,521	9,776	0.67	617.5	26.44
2012	94	8,956	9,050	90,287,258	9,976	2.05	618.6	27.59
2013	73	9,030	9,103	94,997,978	10,436	4.61	619.0	27.94
2014	68	8,986	9,054	94,968,196	10,489	1.64	619.4	30.45
2015	65	9,081	9,146	98,089,800	10,725	2.25%	634.6	31.35
2016	51	8,962	9,013	101,836,294	11,299	5.35%	638.1	34.01
2017	40	8,929	8,969	101,395,015	11,305	0.06%	646.1	32.21
2018	45	8,873	8,918	118,277,391	13,263	17.32%	661.9	33.98

Source: District records.

West Des Moines Community School District

School Building Information

Last Ten Fiscal Years

(Unaudited)

School	2009	2010	2011
Elementary:			
Clive (1952, 1955, 1957, 1959, 1965, 1989, 1991, 2005)			
Square feet	67,802	67,802	67,802
Number of classrooms	21	21	21
Enrollment	455	442	505
Crestview (1961, 1966, 1969, 1976, 1991, 2009, 2018):			
Square feet	59,310	66,362	73,414
Number of classrooms	22	25	25
Enrollment	492	455	565
Crossroads Park (1977, 2010, 2018):			
Square feet	60,619	60,619	68,875
Number of classrooms	21	21	25
Enrollment	551	543	542
Fairmeadows (1957, 1962, 1976, 1987, 1992, 2006):			
Square feet	51,435	51,435	51,435
Number of classrooms	23	23	23
Enrollment	498	496	521
Hillside (2004):			
Square feet	81,222	81,222	81,222
Number of classrooms	45	45	45
Enrollment	614	574	600
Jordan Creek (1992, 2016):			
Square feet	82,000	82,000	82,000
Number of classrooms	35	35	35
Enrollment	726	704	738
Rex Mathes (1951, 1956, 1969, 1989, 1991):			
Square feet	20,600	20,600	20,600
Number of classrooms	3	3	3
Enrollment	-	-	-
Western Hills (1967, 1968, 1988, 1992, 2009):			
Square feet	74,755	74,755	74,755
Number of classrooms	27	27	27
Enrollment	505	515	571
Westridge (1990, 2013):			
Square feet	81,000	81,000	81,000
Number of classrooms	32	32	32
Enrollment	671	623	660

* Information not available

(Continued)

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
67,802	67,802	67,802	67,802	67,802	67,802	67,802
21	21	21	30	30	30	30
539	474	458	539	517	447	443
73,414	73,414	73,414	73,414	73,414	73,414	73,764
25	25	25	30	30	30	30
518	478	469	518	530	459	463
68,875	68,875	68,875	68,875	68,875	68,875	69,305
25	25	25	33	33	33	33
565	548	537	565	546	536	532
51,435	51,435	51,435	55,343	55,343	55,343	55,343
23	23	23	35	35	35	35
535	535	540	535	575	531	529
81,222	81,222	81,222	81,222	81,222	81,222	81,222
45	45	45	40	40	40	40
581	535	548	581	580	538	546
82,000	82,000	82,000	82,000	85,637	85,637	85,637
35	35	35	40	40	40	40
714	689	693	714	781	685	650
20,600	20,600	20,600	20,600	20,600	20,600	20,600
3	3	3	3	3	3	3
-	-	-	-	-	-	-
74,755	74,755	74,755	73,689	73,689	73,689	73,689
27	27	27	36	36	36	36
585	576	570	585	587	541	537
81,000	81,000	81,000	81,000	81,000	81,000	81,000
32	32	35	40	40	40	40
662	587	546	662	753	648	619

West Des Moines Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	2009	2010	2011
Middle:			
Indian Hills (1977,1992):			
Square feet	115,074	115,074	115,074
Number of classrooms	45	45	45
Enrollment	623	595	640
Stilwell (1960, 1962, 1968, 1984, 1988, 1992, 2002, 2010, 2012)			
Square feet	95,520	95,520	95,520
Number of classrooms	42	42	42
Enrollment	689	694	742
High:			
Valley Southwoods Freshman (1999):			
Square feet	162,500	162,500	162,500
Number of classrooms	44	44	44
Enrollment	704	629	704
Valley (1964, 1967, 1969, 1970, 1989, 1992, 2005, 2012,2015):			
Square feet	345,437	345,437	345,437
Number of classrooms	107	107	107
Enrollment	1,895	1,784	1,964
Other:			
Walnut Creek Campus Alternative High School (1957, 1970, 1989, 1991, 2012):			
Square feet	18,052	18,052	18,052
Number of classrooms	16	16	16
Enrollment	(A)	(A)	(A)

* Information not available

Source: District record (Reflects Students served as of October 1st of each school year)

(A) Clegg Park Elementary was repurposed as the Alternative High School effective August 21, 2012 and renamed Walnut Creek Campus.

Fiscal Year						
2012	2013	2014	2015	2016	2017	2018
115,074	115,074	115,074	115,074	115,074	115,074	115,074
45	45	45	55	55	55	55
675	618	610	675	711	607	574
95,520	108,416	108,416	99,571	99,571	99,571	99,571
42	42	42	59	59	59	59
692	660	667	692	717	665	677
162,500	162,500	162,500	162,500	162,500	162,500	162,500
44	44	44	55	55	55	55
711	666	614	711	680	674	669
455,418	455,418	455,418	456,360	456,360	456,360	456,360
124	124	124	125	125	125	125
1,951	1,800	1,854	1,951	1,974	1,830	1,844
18,052	18,052	18,052	41,260	41,260	41,260	41,260
16	16	16	15	15	15	15
(A)	166	158	173	156	119	130

West Des Moines Community School District

Open Enrollment Last Eight Fiscal Years (Unaudited)

Fiscal Year	Open Enrolled In	Open Enrolled Out	Net Open Enrollment
2011	488.3	507.0	(18.7)
2012	506.1	488.3	17.8
2013	565.5	548.3	17.2
2014	609.0	621.0	(12.0)
2015	614.5	638.9	(24.4)
2016	672.0	635.0	37.0
2017	649.0	630.5	18.5
2018	590.0	647.0	(57.0)

Note: Students in Iowa are allowed to choose to enroll into and out of the District. The District's revenues per pupil are adjusted for any net gains and/or losses in enrollment. Listed above are recent open enrollment numbers for the District.

Source: Certified enrollment from state as of October 1.

West Des Moines Community School District

**Schedule of Expenditures of Federal Awards
Year Ended June 30, 2018**

Federal Grantor/Pass-Through Grantor/Program Title	CFDA Number	Pass-Through Entity Identifying Number	Passed Through to Subrecipients		Federal Expenditures
U.S. Department of Agriculture					
<i>Passed through State Department of Agriculture and State of Iowa Department of Education:</i>					
Child Nutrition Cluster:					
National School Breakfast Program	10.553	77-1737	\$	-	\$ 222,972
National School Lunch Program	10.555	77-1737		-	1,443,120
Commodities-Noncash	10.555	77-1737		-	157,411
Commodities-Noncash, Department of Defense	10.555	77-1737		-	182,857
Summer Food Service Program for Children	10.559	77-1737		-	127,706
Total Child Nutrition Cluster				-	2,134,066
Fruit and Vegetable Program	10.582	77-1737		-	29,313
Total U.S. Department of Agriculture				-	2,163,379
U.S. Department of Education					
<i>Passed Through State of Iowa Department of Education:</i>					
Title I - Grants to Local Educational Agencies	84.010A	42-6004525		-	930,338
Vocational Education Basic Grants to States - Carl Perkins Basic Grant	84.048A	42-6004525		-	79,760
Special Education-State Personnel Development Grants	84.323	42-6004525		-	20,226
Title II - Improving Teacher Quality State Grant	84.367	42-6004525		-	199,244
				-	1,229,568
<i>Passed Through Heartland Area Education Agency:</i>					
Special Education-Grants to States IDEA, Part B	84.027	N/A		-	464,228
Title III English Language Acquisition	84.365	4644		-	20,196
				-	484,424
Total U.S. Department of Education				-	1,713,992
U.S. Department of Health and Human Services					
<i>Passed Through State of Iowa Department of Education:</i>					
AIDS Education	93.938	42-6004525		-	466
Total expenditures of federal awards			\$	-	\$ 3,877,837

See Notes to Schedule of Expenditures of Federal Awards.

West Des Moines Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2018

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards includes the federal grant activity of West Des Moines Community School District under programs of the federal government for the year ended June 30, 2018. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

West Des Moines Community School District

Summary Schedule of Prior Audit Findings

Year Ended June 30, 2018

Findings		Status	Reason for Recurrence and Corrective Action Plan or Other Explanation
Findings Related to Basic Financial Statements			
2017-001	The District did not properly record year-end adjustments for accounts receivable and revenue.	Corrected	
Findings Related to Federal Awards			
2017-002	The District has inadequate documentation for allowable costs for split-funded employees.	Not Corrected	Recurrence due to timing needed to post new positions. See corrective action plan at 2018-002.



WEST DES MOINES
COMMUNITY SCHOOLS



**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With Government Auditing Standards**

To the Board of Education
West Des Moines Community School District
West Des Moines, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of West Des Moines Community School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated November 16, 2018.

Our report included an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 75.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of West Des Moines Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We did identify a certain deficiency in internal control described in the accompanying Schedule of Findings and Questioned Costs as 2018-001 that we consider to be a significant deficiency.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of non-compliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2018 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Response to Finding

The District's response to the findings identified in our audit are described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in black ink that reads "Bohnsack & Frommelt LLP". The script is cursive and fluid.

Moline, Illinois
November 16, 2018



**Independent Auditor's Report on Compliance For Each
Major Federal Program and On Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
West Des Moines Community School District
West Des Moines, Iowa

Report on Compliance for Each Major Federal Program

We have audited West Des Moines Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2018. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, we identified a certain deficiency in internal control over compliance, as described in the accompanying Schedule of Findings and Questioned Costs as item 2018-002 that we consider to be a significant deficiency.

The District's response to the internal control over compliance finding identified in our audit is described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of compliance and accordingly, we express no opinion on the response.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
November 16, 2018

West Des Moines Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2018**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency identified?
- Noncompliance material to financial statements noted?

☐ Yes ☒ No
☒ Yes ☐ None Reported
☐ Yes ☒ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency identified?

☐ Yes ☒ No
☒ Yes ☐ None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

- Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

☒ Yes ☐ No

Identification of major programs:

CFDA Number	Name of Federal Program or Cluster
	Child Nutrition Program Cluster:
10.553	National School Breakfast Program
10.555	National School Lunch Program
10.559	Summer Food Service Program for Children

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

(Continued)

West Des Moines Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2018

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

2018-001

Finding: The District did not properly identify and record expenditures and accounts payable pertaining to required remittances to the Iowa Department of Human Services for the Medicaid program.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: The Iowa Department of Human Services requires participants to download invoices pertaining to the Medicaid program from the Department's website and process the invoice through the District's accounts payable system for payment. Since the District is not presented with an invoice from the vendor, the District did not identify the expenditure and accounts payable were not being remitted during the fiscal year.

Context: The District posted an adjustment to reduce Medicaid revenue and increase expenditure and accounts payable for approximately \$959,000.

Effect: Financial statements are misstated and errors are not detected on a timely basis.

Cause: The District experienced turnover in the special education director position and special education secretarial position. These positions are responsible for downloading the Department of Human Services invoices and approving for accounts payable processing.

Identification of as a Repeat Finding: This is not a repeat finding.

Recommendation: We recommend the District implement a process to ensure invoices are downloaded with the Iowa Department of Human Services on a routine basis and with monitoring controls to ensure the process occurs regardless of turnover in employee positions.

Response and Corrective Action Plan: Immediately upon being made aware of the deficiency, the District has implemented the following: 1) Both the new Special Education Director and the new Secretary will be granted logins to the Iowa Department of Human Services system to access invoices; 2) Once logins are granted, the Secretary will access invoices on a monthly basis and submit the invoices to the Special Education Director for approval and processing for payment; and 3) The District has inquired as to whether the Iowa Department of Human Services could mail or email vendor invoices to school districts since invoices are currently only available via a login process.

West Des Moines Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2018**

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

2018-002

**U.S. Department of Agriculture
Passed Through State Department of Agriculture and
State of Iowa Department of Education/
Child Nutrition Cluster:
National School Breakfast Program (CFDA 10.553)
National School Lunch Program (CFDA 10.555)
Commodities-Noncash (CFDA 10.555)
Summer Food Service Program For Children (CFDA 10.559)
Federal Award Numbers: 77-1737
Federal Award Year: 2018 and 2017**

Finding: The District has inadequate documentation for allowable costs pertaining to compensation expenditures of split-funded employees.

Criteria: Title 2 U.S. Code of Federal Regulations, Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) in Section 200.430 Compensation-personal services paragraph (i) *Standards for Documentation of Personnel Expenses* states... "(vii) Support the distribution of the employee's salary or wages among specific activities or cost objectives if the employee works on more than one Federal award; a Federal award and non-Federal award; an indirect cost activity and a direct cost activity; two or more indirect activities which are allocated using different allocation bases; or an unallowable activity and a direct or indirect cost activity. (viii) Budget estimates (i.e. estimates determine before the services are performed) alone do not qualify as support for charges to Federal awards, but may be used for interim accounting purposes, provided that: (A) The system for establishing the estimates produces reasonable approximations of the activity actually performed; (B) Significant changes in the corresponding work activity (as defined by the non-Federal entity's written policies) are identified and entered into the records in a timely manner....and (C) The non-Federal entity's system of internal controls includes processes to review after-the-fact interim changes made to a Federal awards based on budget estimates. All necessary adjustment must be made such that the final amount charged to the Federal award is accurate, allowable, and properly allocated."

Condition: The District did not maintain documentation supporting the compensation expenditures charged to the program for eleven building secretaries that have a portion of their compensation charged to the Nutrition Program. An initial allocation percentage was determined for budget purposes. The employee timesheets do not separately indicate the time actually spent on the Nutrition program.

During the 2018 fiscal year, as a corrective measure, the District requested the building secretaries to sign certifications of the time worked in the program. The signed certifications are a District control procedure for documenting federal award time. There are variances between the time certified and the time allocated in the payroll system. In addition, one of the secretaries did not sign the required annual certification letter.

Questioned Costs: \$0

Context: There are eleven elementary building secretaries that have a portion of their compensation charged to the Nutrition Program.

West Des Moines Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2018

Effect: Noncompliance with program requirements could occur and not be timely identified. The program may not be properly charged for the actual time worked on the activity.

Cause: The employees are building secretaries for the District's elementary schools that have different time record keeping documentation than Nutrition program employees and are supervised by building principles rather than by the Nutrition department.

Identification of as a Repeat Finding: This is a repeat finding.

Recommendation: We recognize the District implemented requesting signed certifications from the elementary building secretaries as planned when the finding was initially identified in fiscal year 2017. We recommend the District implement a process to accurately document the actual hours worked for the Nutrition program. We also recommend the District require a signed certification from the building secretaries paid with federal awards prior to charging any time to the program. The certification specifically requires them to certify the percentage of their daily time charged to the program to verify it is accurate. The time certified by the employee may be used to determine the payroll costs charged to the program.

Response and Corrective Action Plan: The District will continue to obtain a signed certification from all split-funded employees charged to the Nutrition program in the next fiscal year. The District will review the signed certified hours and compare to the payroll system. The District will evaluate current processes to implement that recommendations above.

Part IV: Other Findings Related to Statutory Reporting

IV-A-18 - Certified Budget:

Finding: Expenditures for the year ended June 30, 2018 exceeded the amended certified budget in the instruction function.

Recommendation: The certified budget should be amended before expenditures are allowed to exceed the budget.

Response and Correction Action Plan: Future budgets will be amended in sufficient amounts to ensure the certified budget is not exceeded.

Conclusion: Response accepted.

IV-B-18 - Questionable Expenditures: There were no expenditures noted that may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-18 - Travel Expense: No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-18 - Business Transactions: No business transactions between the District and District officials or employees were noted except for the following:

The District incurred \$34,149 in expenditures to Drake University. Board Member Jill Johnson is an employee of Drake University and abstains from voting on the transactions. In accordance with the Attorney General's opinion dated November 9, 1976, the transactions do not appear to represent a conflict of interest.

West Des Moines Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2018

IV-E-18- Bond Coverage: Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to ensure the coverage is adequate for current operations.

IV-F-18 - Board Minutes: No transactions requiring Board approval which had not been approved by the Board were noted. However, the following was noted:

Finding: The summary of bills was not properly published for the months of February 2018 and August 2017.

Recommendation: The summary of bills is required to be published monthly. We recommend the District implement procedures to ensure monthly publication occurs.

Response and Correction Action Plan: The District will review current processes and ensure the summary of bills is published monthly.

Conclusion: Response accepted.

IV-G-18 - Certified Enrollment:

Finding: The District identified variances in certified enrollment certified to the state in October 2107.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Correction Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-H-18 - Supplementary Weighting:

Finding: The District identified variances in supplementary weighting certified to the state in October 2107.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Correction Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-18 - Deposits and Investments: No instances of non-compliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-J-18 - Certified Annual Report: The certified annual report was certified timely to the Iowa Department of Education.

IV-K-18 - Categorical Funding: No instances of categorical funding being used to supplant rather than supplement other funds were noted.

West Des Moines Community School District

Schedule of Findings and Questioned Costs Year Ended June 30, 2018

IV-L-18 - Statewide Sales and Services Tax: No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2018, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance		\$	13,457,618
Revenues/other financing sources:			
Statewide sales and services tax revenue	\$	8,353,971	
Investment earnings		431,327	
Other local sources		-	8,785,298
Expenditures/other financing uses:			
Instruction		4,002,508	
Support services		155,157	
Transfers out, debt service		3,080,797	
School infrastructure:			
Buildings		2,084,964	9,323,426
Ending balance			\$ 12,919,490

For the year ended June 30, 2018, the District reduced the tax levy by not having a debt service levy of \$1.91 per \$1000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.



WEST DES MOINES COMMUNITY SCHOOLS

Learning Resource Center
3550 Mills Civic Parkway • West Des Moines, IA 50265
515-633-5000 • www.wdmcs.org

West Des Moines Community School District

Corrective Action Plan Year Ended June 30, 2018

Findings	Corrective Action Plan	Anticipated Date of Completion and Responsible Contact Person
Findings Related to Basic Financial Statements		
2018-001 The District did not identify and record amounts due to the state regarding the student Medicaid program.	See 2018-001	Fiscal Year 2019 Paul Bobek
Findings Related to Federal Awards		
2018-002 The District has inadequate documentation for allowable costs for split-funded employees.	See 2018-002	Fiscal Year 2019 Willow Dye
Findings Related to Statutory Reporting		
IV-A-18 Expenditures in the instruction function exceeded the amended budget.	See IV-A-18	Fiscal Year 2019 Paul Bobek
IV-F-18 The District did not publish the monthly summary of bills for February 2018 and August 2017.	See IV-F-18	Fiscal Year 2019 Paul Bobek
IV-G-18 The District identified variances in certified enrollment certified to the state in October 2017.	See IV-G-18	Fiscal Year 2019 Mike Sherman
IV-H-18 The District identified variances in supplementary weighting certified to the state in October 2017.	See IV-H-18	Fiscal Year 2019 Mike Sherman